Shared Spaces, Shared Reputations: Investment Adviser Misconduct and Affiliated Bank Branches

Abstract

Affiliated financial intermediaries serving the same customers may share a reputation. Using investment advisers' regulatory disclosures of shared locations with affiliated banks, I find that revealed adviser misconduct reduces co-located branches' deposits by approximately four to five percent. The response concentrates in misconduct bearing on customer treatment, scales with severity, and is strongest among retail-facing advisers and common-brand affiliations, consistent with depositors updating their view of the organization. Outflows reallocate to unaffected local competitors, and exposed branches are more likely to close. Corroborated by the 2003 mutual fund scandal, the results show reputational exposure extends across separately regulated sectors.

Keywords: Investment advisers; Financial misconduct; Depositor discipline; Asset management; Financial conglomerates; Mutual fund scandal.

JEL: G24, G23, G14, G28, G21, G41.

1. Introduction

Financial intermediaries operate in markets where customers cannot fully observe product quality, conflicts of interest, internal controls, or organizational culture. Reputation helps overcome these information frictions by allowing firms to credibly sell financial services that require trust (Guiso et al., 2008; Gennaioli et al., 2015). Because reputational capital is valuable, banks often extend their names, premises, and customer relationships to affiliated investment advisory and fiduciary businesses. This strategy creates business synergies, but it also makes reputation collective rather than entity-specific: when customers cannot perfectly distinguish an affiliate's conduct from the quality of the broader organization, information revealed about one affiliate becomes information about the others (Tirole, 1996).

Regulatory agencies have long warned that banks actively associating their names with fiduciary services face heightened reputation risk (Office of the Comptroller of the Currency, 1996), and require advisers and brokers to disclose whether they share premises or marketing arrangements with affiliated firms (Financial Industry Regulatory Authority, 2024; U.S. Securities and Exchange Commission, 2024a). The concern is not hypothetical: banks and affiliated advisers routinely share premises and jointly solicit deposit customers across a bank's local branch network (North American Securities Administrators Association, 2020; Raymond James Financial, 2024). Investment advisory services are a natural setting in which to study this transmission. Advisers owe fiduciary duties and serve households directly, which makes their misconduct salient and reputationally charged. The majority of households that invest rely on a financial adviser (Foerster et al., 2017; Egan et al., 2019), the same households that hold bank deposits. Banks also attach their brands to these advisers on a large scale, with bank-affiliated advisers managing almost half of U.S. advisory assets (Figure 1).

Despite a large literature on trust, reputation, and misconduct in finance, little is known about whether reputational information transmits across affiliated financial intermediaries. Existing studies primarily examine how misconduct affects the offending institution, its clients, or other firms within the same sector.[1] Yet modern financial intermediaries increasingly operate through referral partnerships, shared branding, distribution channels, common ownership, and shared physical locations. This paper asks whether reputational information crosses sectoral boundaries between legally distinct intermediaries.

To study this question, I exploit a unique feature of the regulatory data: registered investment advisers' (RIAs) administrative filings, in Securities and Exchange Commission (SEC) Form ADV, of whether they share a physical location with a related banking institution. Because bank-affiliated advisers solicit and market investment services across a bank's local branch network rather than from a single desk, a disclosed shared location captures the adviser's customer-facing presence inside the affiliated bank. This identifier isolates customer-facing integration, the channel through which reputational information can travel, rather than mere common ownership, and because it is reported by the adviser to its regulator rather than inferred from name or address matching, it directly identifies the bank-adviser pairs a customer could plausibly connect. Form ADV Schedule D Section 7.A requires every registered adviser with a related banking institution to complete this structured indicator, so its variation reflects actual co-location, not which advisers choose to disclose. Because the disclosure is mandatory rather than voluntary, the measure is free of the selective-reporting concern that affects settings in which firms decide whether to reveal a re-

[1]This literature documents the consequences of financial misconduct for the offending firm and its agents (Karpoff et al., 2008; Egan et al., 2022), for clients and investors (Egan et al., 2019; Dimmock et al., 2018; Liang et al., 2020), and for other firms or markets within the same sector (Giannetti and Wang, 2016; Parsons et al., 2018; Gurun et al., 2018). A related strand studies the determinants of misconduct (Dimmock et al., 2021).

lationship. The remaining concern, that co-located pairs differ on unobservables that also drive deposits, is addressed by the research design described below.

I combine the Form ADV shared-location disclosures with branch-level deposits from the Federal Deposit Insurance Corporation (FDIC) Summary of Deposits, two independent regulatory sources. A branch is exposed if it operates in the same ZIP code as an affiliated adviser that discloses a shared location with the bank and is revealed to have committed misconduct. I estimate difference-in-differences and stacked difference-in-differences specifications with branch, ZIP-code $\times$ year, and bank $\times$ year fixed effects. The bank $\times$ year fixed effects are central to the design. Branch deposits move substantially with bank-wide forces, because banks set deposit pricing centrally across their branches and reposition their networks in response to deposit franchise value (Narayanan et al., 2025). Since misconduct occurs at an RIA affiliated with the bank, these bank-wide forces are correlated with the treatment, so I compare exposed branches only with other branches of the same bank in the same year. This holds the bank's overall time-varying condition and reputation fixed and identifies the local effect of exposure rather than the bank-wide consequence of misconduct. I measure exposure at the ZIP-code level rather than the exact address because the FDIC and SEC use incompatible address conventions and the affiliated adviser serves the surrounding branch network (North American Securities Administrators Association, 2020; Raymond James Financial, 2024). The measure is conservative, as the deposit response strengthens at closer distances and under a stricter same-address definition.

Ex ante, adviser misconduct could leave affiliated bank deposits unaffected or move them, depending on what depositors value. Bank deposits are typically protected by deposit insurance, so a depositor concerned only with default risk has little reason to respond to adviser misconduct that does not bear on bank solvency. Even so, insured depositors withdraw for reasons unrelated to default risk, and deposit insurance only partially dampens their responsiveness (Iyer and Puri, 2012). A response emerges only if depositors value something beyond insured principal, such as the integrity and customer-treatment practices of the institution they bank with, and read adviser misconduct as evidence about those attributes (Homanen, 2022; Gurun et al., 2018; Giannetti and Wang, 2016). A null would be consistent with depositors caring only about insured default risk. A selective, signal-scaled response would not.

I find that bank branches that share a location with a misconduct-revealed affiliated adviser experience deposit declines of approximately four to five percent relative to other branches of the same bank in other ZIP codes and to other banks' branches in the same ZIP code, in the same year. The decline begins in the year the misconduct becomes public and persists thereafter, and event-study estimates show no differential pre-trends, so the effect does not reflect branches that were already diverging before the revelation.

The response is selective in ways that identify what depositors are reacting to. It is concentrated in transaction- and disclosure-related misconduct that bears on customer treatment and is absent for procedural compliance violations of comparable regulatory standing. It scales with the size of the regulatory fine. It is stronger for retail-facing advisers, whose clients overlap with the households that hold bank deposits, and for common-brand affiliations, where the tie between adviser and bank is visible to the customer. Finally, it attenuates with the physical distance between the branch and the adviser. Each of these patterns is what updating about the organization's quality predicts. The distance gradient and common-brand results also rule out the leading market-wide alternatives: neither bank-wide fundamentals nor local economic shocks would weaken as a branch sits farther from the adviser, or depend on whether the adviser and bank share a brand.

Two results separate this mechanism from a generalized loss of confidence in banks. Outflows reallocate to other banks in the same ZIP code rather than leaving the local deposit market, as updating about one organization, not distrust of banking as a whole, implies. In addition, exposed branches become more likely to close, so the spillover reaches real operating decisions. Evidence around the 2003 mutual fund scandal, a sudden revelation of long-concealed late-trading and market-timing practices in the asset-management industry, corroborates these findings using a single salient shock whose timing is sharply identified.

The pattern is consistent with rational, selective updating about organizational quality. When a customer observes misconduct at an affiliated investment adviser, the customer learns something not only about the adviser but about the broader organization that produced it: its governance, compliance systems, sales practices, conflicts of interest, and customer-treatment culture.

Information-updating and trust erosion are not mutually exclusive, and modern trust theories also allow beliefs to update from organization-specific signals (Gennaioli et al., 2015; Gurun et al., 2018; Giannetti and Wang, 2016). The heterogeneity is therefore not evidence against an affect component. Its contribution is to show that the cross-sectional structure of withdrawals tracks signal informativeness about organizational quality rather than scandal salience, as the customer-treatment selectivity documented above makes clear.

This paper contributes to several literatures. First, the paper contributes to the literature on trust, reputation, and misconduct in financial markets. Prior work shows that trust affects households' financial participation and portfolio choices (Guiso et al., 2008; Gennaioli et al., 2015), and that misconduct can reduce investor participation or trigger withdrawals from affected financial institutions (Giannetti and Wang, 2016; Gurun et al., 2018; Liang et al., 2020). The closest paper is Gurun et al. (2018), who show that the Madoff fraud generated localized withdrawals from investment advisers and reallocations into bank deposits, documenting reputational spillovers within the advisory sector. I study a distinct cross-sector channel: misconduct by an investment adviser propagates to customer behavior at an affiliated bank, a legally distinct intermediary in another financial sector. The pattern complements within-sector evidence from Egan et al. (2019) on adviser misconduct and from Giannetti and Wang (2016) on consumer withdrawals from fraud-revealed firms by showing that the same misconduct crosses industry boundaries when an affiliation is visible at the customer-facing level.

Second, the paper contributes to the literature on collective reputation. Theoretical work emphasizes that reputation is shared across group members when customers cannot fully separate an affiliate's conduct from the quality of the broader organization (Tirole, 1996; Levin, 2009), but empirical evidence is limited by the difficulty of observing both the organizational link and the economic response, often confined to peer spillovers within the same industry (Jonsson et al., 2009; Bai et al., 2022; Galloway et al., 2023). Bai et al. (2022), for example, find that a contamination scandal in the Chinese dairy industry reduced demand for non-implicated firms by an amount equal to 64% of the direct effect on implicated firms, a within-industry collective-reputation spillover. I provide large-sample evidence that collective reputation operates across sectoral boundaries in financial intermediation and identify the specific organizational features that make it economically important: disclosed shared locations, common brands, and household-facing advisory relationships. The finding complements Parsons et al. (2018) by showing that local visibility of the bank-adviser affiliation is itself a channel through which collective reputation operates within a market.

Third, the paper contributes to the banking literature on depositor discipline. Existing work shows that depositors respond to bank risk, fundamentals, and bank-level shocks (Saunders and Wilson, 1996; Schumacher, 2000; Martinez Peria and Schmukler, 2001; Maechler and McDill, 2006; Egan et al., 2017), and to non-financial information such as rumors, social networks, or controversial activities (Iyer and Puri, 2012; Hasan et al., 2013; Homanen, 2022). I identify an indirect form of depositor discipline: depositors respond to misconduct by affiliated non-bank intermediaries, broadening the notion of discipline from monitoring bank balance-sheet risk to monitoring reputational information generated elsewhere inside the financial conglomerate. The finding has supervisory implications: prudential frameworks that evaluate bank reputation in isolation may understate the reputational risk that banks bear from affiliated non-bank activities, particularly when affiliations are made visible to customers through shared locations or shared brands. This evidence extends Iyer and Puri (2012), who document that depositors learn about bank-specific risk through interbank exposure networks. Here, depositors learn about the broader organization that owns the bank through misconduct at a non-bank affiliate, and the response is identified within the same banking organization rather than through cross-bank contagion. Unlike the adviser-to-bank flow in Gurun et al. (2018), I document the reverse, in which misconduct at an affiliated adviser drives deposits out of the bank branches that share its location.

Fourth, the paper contributes to the literature on financial conglomerates and intermediary integration. Firms integrate banking, advisory, and wealth-management activities to exploit cross-selling, referrals, and brand capital, and investors value affiliations with reputable conglomerates as a quality signal (Gennaioli et al., 2015; Franzoni and Giannetti, 2019). My findings identify the reverse side of this arrangement: the same organizational links that allow an adviser to borrow reputation from an affiliated bank also expose the bank to reputational information produced by the adviser, highlighting a cost of conglomeration distinct from balance-sheet contagion or regulatory arbitrage. The results speak to debates about whether banks should be permitted to share customer-facing operations with non-bank affiliates: the same arrangements that produce synergies also create channels through which non-bank reputation shocks reach the insured banking system, and the magnitude of that exposure depends on visibility features such as common branding and physical proximity that are directly observable in regulatory filings.

Finally, the paper contributes to the literature on misconduct in the financial advisory industry. Prior work documents that advisory misconduct is common, persistent, and costly for advisers, coworkers, funds, and investors (Dimmock et al., 2018, 2021; Egan et al., 2019, 2022; Liang et al., 2020), focusing largely on consequences within the advisory industry. I show that advisory misconduct also imposes costs outside that sector: exposed branches of affiliated banks lose deposits and become more likely to close, creating externalities for intermediaries in other financial sectors. The cross-sector externality suggests that estimates of the social cost of adviser misconduct understate the full economic harm when based solely on client-level effects, since reputational damage spills over to affiliated banks and shapes the geographic footprint of local banking operations. The pattern complements Liang et al. (2020), who classify misconduct types by their bearing on customer treatment and find investor reactions concentrated in transaction- and disclosure-related cases. This paper shows that the same selectivity governs the spillover to affiliated bank branches. Egan et al. (2022) document persistent misconduct stigma in the advisory labor market. My evidence indicates that the stigma also crosses sectoral boundaries through customer-facing organizational links.

2. Institutional Background

A key feature of this setting is that Form ADV directly identifies whether an adviser shares a physical location with each related person. I use this disclosure to measure customer-facing proximity between RIAs and affiliated banking institutions.

2.1 Bank-Affiliated Investment Advisers

RIAs provide investment advice for compensation and are regulated under the Investment Advisers Act of 1940. RIAs registered with the SEC are required to file Form ADV, which contains detailed information on the adviser's business activities, assets under management, client composition, ownership structure, financial-industry affiliations, shared-location relationships with related persons, and disciplinary history.

Form ADV is particularly useful for studying reputational spillovers across financial intermediaries because it identifies both advisory firms' regulatory histories and their affiliations with other financial institutions. Item 7.A of Form ADV requires advisers to report whether they have "related persons" in several financial industries, including banking or thrift institutions, broker-dealers, insurance companies, trust companies, and other investment advisers. A related person is the regulatory term for an affiliate or connected entity that controls, is controlled by, is under common control with, or has certain business relationships with the adviser.

I focus on the subset of related persons identified as banking or thrift institutions. For expositional simplicity, I refer to these related banking institutions as affiliated banks. Thus, a bank-affiliated RIA is an adviser that reports a related person whose primary business is a banking or thrift institution. This definition is based on the adviser's own Form ADV disclosure rather than on a researcher-imposed name match or geographic match.

Schedule D Section 7.A then requires the adviser to provide detailed information for each related person. These disclosures include the related person's name, primary business, relationship to the adviser, and whether the adviser and the related person share an office or physical location. This last disclosure is central to my analysis. It identifies cases in which the affiliation is not merely legal or ownership-based, but also involves a disclosed physical connection between the adviser and the related banking institution.

These affiliations are economically substantial. Banks use affiliated advisers to cross-sell investment products and deepen relationships with deposit customers, while advisers gain access to bank customer networks and borrow reputational capital from established banking brands. The same links can create reputational exposure: if customers perceive the bank and adviser as part of the same organization, misconduct by the adviser may affect beliefs about the bank.

Panel A of Table 1 reports the distribution of financial-industry affiliations disclosed in Form ADV filings. Banking or thrift institutions appear in 6% of filings, well below the most common affiliations with pooled investment vehicles (36%) and other advisers (34%). Panel B provides illustrative examples of these bank-adviser affiliations, reporting the advisory firm, the filing date, and the affiliated banking institution disclosed as a related person. Bank-affiliated advisers are thus uncommon by count, but they are large in economic terms. Panel A of Figure 1 plots assets under management by affiliation status: assets managed by bank-affiliated advisers have more than doubled over the past decade and now account for almost half of all assets in the U.S. advisory industry. The contrast between the two measures reflects that bank-affiliated advisers are concentrated among the largest firms, so a small share of filings carries a disproportionate share of household assets under bank brands. The growth and scale of these assets indicate that bank-adviser affiliations are not isolated arrangements, but a central feature of modern financial intermediation.

2.2 Shared-Location Disclosures

The treatment variable is based on the RIA's disclosure, in Form ADV Schedule D Section 7.A, that it shares an office or physical location with a related banking institution. I construct branch-level exposure in two steps: I identify bank-affiliated RIAs reporting such a shared location, then assign exposure to branches of the affiliated institution that operate in the same ZIP code as the RIA. Treatment therefore requires both a disclosed adviser-bank shared-location relationship and local branch presence. Because Schedule D Section 7.A is a mandatory field that every adviser with a related banking institution must complete, the indicator reflects actual co-location rather than a reporting choice. This is an identification advantage relative to settings built on voluntary disclosure, where the decision to report a relationship is itself endogenous: here the recorded variation cannot be driven by selective reporting.

The ZIP code is the appropriate unit for three reasons. First, depositor behavior unfolds at the local-market level rather than the individual-address level, consistent with recent banking literature using sub-county geographic units to study local deposit markets, branch closings, and financial access (Nguyen, 2019; Narayanan et al., 2025). Customers evaluate the bank-adviser relationship through the local franchise they encounter, its signage, branding, branch staff, and marketing materials, rather than through exact address-level co-occupancy. Second, an adviser's reported offices understate its true local footprint. A single adviser representative may conduct business at more than one branch office rather than solely at a registered address (North American Securities Administrators Association, 2020). Bank-affiliated advisers in particular operate across an entire local bank branch network for marketing, rather than only in a single bank branch, and banks and affiliated advisers jointly market and route customers throughout that network. An exposure measure tied to officially reported addresses would therefore miss the branches at which depositors actually encounter the adviser-bank relationship. Third, the FDIC Summary of Deposits and SEC Form ADV are separate administrative systems with different address conventions (Federal Deposit Insurance Corporation, 2025; U.S. Securities and Exchange Commission, 2024a,b), so the same customer-facing location may appear with different suite, floor, building, or formatting conventions across the two filings. Exact string matching could therefore generate false negatives and exclude economically relevant shared-location relationships. The ZIP code accommodates these reporting differences, while the distance gradient and the stricter same-address measure discussed below confirm that it does so without overstating exposure.

Two validation exercises address the concern that ZIP-code assignment is too broad. The first examines how the deposit response varies with the physical distance between the bank branch and the misconduct-revealed adviser: genuine local exposure should attenuate monotonically with distance and concentrate among the closest branches, whereas a response driven by bank-wide fundamentals or county-level economic shocks would not vary with distance. The second constructs a stricter same-address measure requiring an exact street-address match between the adviser and the branch, isolating the strictest physical proximity and complementing the depositor-relevant ZIP-code measure as evidence on the same underlying effect. I refer to branches assigned to the baseline ZIP-code measure as "shared-location branches" throughout the paper.

Figure 2 maps the ZIP codes in which RIAs report sharing a location with an affiliated banking institution in Form ADV Schedule D Section 7.A, in 2012 and in 2020. These shared-location arrangements are geographically widespread rather than concentrated in a small number of markets, spanning major financial centers, regional banking hubs, and smaller ZIP codes across the United States. They also expanded substantially over the sample period: the number of shared-location ZIP codes more than quadrupled, from 93 in 2012 to 417 in 2020. This dispersion matters for the design: identifying variation comes from many comparable local markets rather than a single region, and the resulting cross-sectional variation in local economic conditions and banking-market structure is absorbed by the ZIP-code $\times$ year fixed effects, so exposure is not confounded with a particular type of market.

3. Data

I combine administrative filings from SEC Form ADV with branch-level data from the FDIC Summary of Deposits and FDIC BankFind Suite. The resulting sample is a panel of FDIC-insured bank branches over 2012 to 2020, linked through Form ADV to the misconduct records, affiliations, and shared-location disclosures of their related RIAs.

I collect data on RIAs from SEC Form ADV, which contains information on advisers' business activities, assets under management, client composition, ownership structure, financial-industry affiliations, office locations, shared-location relationships with related persons, and disciplinary history.

Form ADV Item 7.A and Schedule D Section 7.A provide financial-industry affiliation information. Item 7.A requires advisers to disclose whether they have related persons in several financial industries, including banking or thrift institutions, broker-dealers, insurance companies, trust companies, and other investment advisers. Schedule D Section 7.A then provides detailed information for each related person, including the related person's name, primary business, relationship to the adviser, and whether the adviser and the related person share an office or physical location. I focus on related persons whose primary business is a banking or thrift institution and refer to these entities as affiliated banks. I match these related banking institutions to FDIC-insured institutions using bank names and location information.[2]

I construct the branch-level exposure measure from two pieces of information: the RIA's Form ADV disclosure of a shared office or physical location with a related banking institution, and the presence of branches of that institution in the same ZIP code as the RIA. Treatment therefore requires both a disclosed shared-location relationship and a local branch presence. I match at the ZIP-code level rather than the exact address for the reasons discussed in Section 2.2, and I also construct standardized same-address matches as a stricter alternative.

I collect adviser misconduct events from the disciplinary disclosure section of Form ADV. These disclosures report regulatory actions involving the advisory firm, including the regulatory authority, initiation date, sanction, monetary penalty, and description of the allegations. I refer to these events as misconduct or regulatory actions rather than fraud because the data include a broad range of violations. I exclude cases in which no violation was found, such as those reported as dismissed, vacated, or withdrawn, and I exclude ongoing cases reported as pending or on appeal. I date each misconduct event using the initiation date reported in Form ADV. This timing convention follows prior work using Form ADV disciplinary disclosures and treats the initiation date as the point at which the regulatory action becomes observable to market participants (Egan et al., 2019; Liang et al., 2020). The treatment indicator equals one beginning in the year of the first misconduct revelation for an affiliated shared-location RIA and remains one thereafter. For RIAs with multiple misconduct events, I use the first event in the main analysis to avoid repeated treatment and overlapping event windows.

[2] Approximately 71% of banking institutions reported as related persons by RIAs are matched to institutions in the FDIC Summary of Deposits.

Misconduct events are classified into mutually exclusive categories based on the allegation descriptions, following the classification method in Liang et al. (2020). Transaction-related misconduct includes allegations involving trading, unauthorized transactions, unsuitable recommendations, excessive fees, unfair pricing, or other actions directly affecting client transactions. Disclosure-related misconduct includes omissions, misrepresentations, misleading advertising, or failures to provide accurate information to clients or regulators. Compliance-related misconduct includes failures involving registration, licensing, supervision, reporting, or internal procedures. Remaining cases are classified as miscellaneous misconduct. When a regulatory action includes multiple allegations, I assign the event to the most severe applicable category, prioritizing transaction-related misconduct, then disclosure-related, compliance-related, and miscellaneous misconduct. I also measure misconduct severity using the monetary fine associated with each regulatory action.

Branch-level deposit data come from the FDIC Summary of Deposits, an annual survey of branch-office deposits for FDIC-insured institutions as of June 30 each year. The main dependent variable is the natural logarithm of deposits at the bank-branch level. The Summary of Deposits also provides branch location and branch type. I use branch ZIP codes to define local depositor-market exposure to shared-location RIAs and to construct ZIP-code-level aggregate deposit outcomes. Because deposit dynamics may differ across brick-and-mortar, retail, drive-through, administrative, and other branch categories, the empirical specifications include branch type $\times$ year fixed effects.

To examine whether reputational spillovers have real operational consequences, I also collect branch-closure data from the FDIC BankFind Suite Branch Office Closings database. The data report branch-office closing events and effective dates for FDIC-insured institutions. I merge these closing events to the branch-level deposit panel using FDIC institution and branch identifiers, supplemented by location information when necessary. I define a branch-closure indicator equal to one if a branch closes in a subsequent year and use this variable to test whether exposed branches become more likely to exit the local branch network after adviser misconduct is revealed.

Table 2 reports summary statistics for the main variables used in the analysis. The average branch holds \$129.6 million in deposits against a median of \$45.9 million, and the strong right skew motivates the use of log deposits. The shared-location treatment indicator equals one for a small fraction of the 794,983 branch-years in the sample, reflecting that only a subset of branches is located in the same ZIP code as an affiliated RIA that discloses sharing a physical location with a related banking institution and later experiences a misconduct revelation. Panel B of Figure 1 plots the annual frequency of RIA misconduct events, separately for shared-location and other RIAs. The table also reports the branch-type distribution, in which brick-and-mortar offices account for 93.2% of branches, along with RIA client composition, misconduct characteristics, and branch-closure outcomes.

4. Empirical Strategy

I estimate the effect of RIA misconduct on branch deposits with both baseline and stacked difference-in-differences specifications. The baseline specification compares branches locally exposed to a misconduct-revealed affiliated shared-location adviser, before and after the revelation, with other branches in comparable local markets, exploiting the staggered timing of misconduct revelations across treatment cohorts. To address the well-known concerns with difference-in-differences specifications under heterogeneous treatment timing (de Chaisemartin and D'Haultfœuille, 2020; Goodman-Bacon, 2021; Baker et al., 2022), I also estimate stacked difference-in-differences specifications that construct cohort-specific event panels and compare each cohort's treated branches against clean controls within the same event window (Gormley and Matsa, 2011). I supplement both specifications with event-study estimates that trace deposit dynamics around the misconduct revelation and provide a test of the parallel-trends assumption.

To decompose the bank-wide and local exposure components, I first estimate the following specification:

$$\ln(Deposits_{i,b,p,z,t}) = \beta_1 \, Post_{Bank_{b,t}} + \beta_2 \, Post_{Share\ Location_{i,b,p,z,t}} + \alpha_i + \delta_{z,t} + \phi_{p,t} + \varepsilon_{i,b,p,z,t}, \quad (1)$$

where i indexes branches, b indexes banks, p indexes branch types, z indexes ZIP codes, and t indexes years. The dependent variable, $\ln(Deposits_{i,b,p,z,t})$, is the natural logarithm of deposits at branch i in bank b, ZIP code z, during year t. The bank-wide treatment indicator $Post_{Bank_{b,t}}$ equals one in years t after misconduct is revealed at any affiliated shared-location RIA of bank b, and zero otherwise. The local treatment indicator $Post_{Share\ Location_{i,b,p,z,t}}$ equals one for branch i in bank b, ZIP code z, and year t after misconduct is revealed at an affiliated shared-location RIA operating in the same ZIP code as the branch, and zero otherwise.

Equation (1) does not include bank $\times$ year fixed effects, because $Post_{Bank_{b,t}}$ varies at the bank $\times$ year level and would be absorbed by them. The coefficient β_1 captures the bank-wide deposit response common to all branches of an affected bank, while β_2 captures the additional response at locally exposed branches.

The main specification then adds bank $\times$ year fixed effects, which absorb $Post_{Bank_{b,t}}$ and isolate the local, within-bank effect:

$$\ln(Deposits_{i,b,p,z,t}) = \beta \, Post_{Share\ Location_{i,b,p,z,t}} + \alpha_i + \delta_{z,t} + \lambda_{b,t} + \phi_{p,t} + \varepsilon_{i,b,p,z,t}, \quad (2)$$

where indices are as in Equation (1) and $Post_{Share\ Location_{i,b,p,z,t}}$ is defined as in that equation. The coefficient of interest is β.

I define the treatment year as the year in which the misconduct is publicly disclosed by the regulatory agency, consistent with the common assumption in the literature that public disclosure marks when the violation first becomes observable to market participants (Egan et al., 2019; Liang et al., 2020). For banks affiliated with multiple misconduct-revealed shared-location RIAs across different years, I retain only the earliest event, so that a branch is treated by the first misconduct revelation affecting its affiliated bank and remains treated thereafter. Retaining only the first event avoids repeated treatment and overlapping event windows, and follows recent work on financial misconduct that uses the first year of formal regulatory disclosure in cases of repeated revelations (Goldman and Zeume, 2023).

The specification includes branch fixed effects, α_i, which absorb time-invariant branch characteristics, including persistent differences in branch size, customer base, and local franchise value. ZIP-code × year fixed effects, $\delta_{z,t}$, absorb time-varying local economic conditions and local deposit-market shocks. Bank × year fixed effects, $\lambda_{b,t}$, absorb bank-wide, time-varying determinants of branch deposits. These include the institution-level deposit strategies that recent evidence identifies as a first-order driver of modern branch deposit-taking: banks set deposit pricing centrally, often quoting the same rate across many branches in a region, and open, close, and reposition branches in response to deposit franchise value (Narayanan et al., 2025). They also include balance-sheet conditions and reputational shocks that affect all branches of the same bank in a given year. These fixed effects are central to identification. Because the misconduct occurs at an RIA affiliated with the bank, any bank-wide deposit response and any time-varying bank characteristic correlated with the misconduct are themselves correlated with treatment. The bank × year fixed effects absorb them, so that β is identified only from differences across branches of the same bank in the same year and recovers the local effect of exposure rather than the bank-wide consequence of the misconduct. Branch-type $\times$ year fixed effects, $\phi_{p,t}$, account for differential deposit dynamics across branch types.

Because β nets out the bank-wide component that Equation (1) estimates separately as β_1, it captures the local response at exposed branches, not the total effect of adviser misconduct on the affiliated bank.

The coefficient is best understood as a within-market redistribution of deposits rather than a net loss to the banking system. Depositors who leave an exposed branch tend to move their funds to a competing bank nearby rather than out of the banking system, so a deposit loss at the exposed branch is mirrored by a deposit gain elsewhere in the local market. A difference-in-differences estimate that compared the exposed branch directly against the gaining competitor would then partly reflect this mechanical offset, because one institution's outflow is another's inflow, and reading such a coefficient as an aggregate deposit loss would double-count the effect (Homanen, 2022).

The within-bank design limits this concern. The bank $\times$ year fixed effects identify β from the comparison between an exposed branch and other branches of the same bank operating in unaffected ZIP codes, which do not receive the deposits leaving the exposed branch. The control group in this comparison is therefore not the set of competitors that absorb the reallocated funds, so β measures the deposit response at the exposed branch itself rather than the difference between a losing branch and a gaining rival. The double-counting caveat instead applies to the separate, aggregate question of whether deposits leave the local market altogether. I address that question directly in Section 7 by aggregating deposits to the ZIP-code level, where I find no decline in total local deposits. This confirms that the branch-level estimate reflects reallocation across banks within the local market rather than deposit destruction, and that the welfare interpretation of the result is a redistribution among intermediaries rather than a net loss to depositors.

The ZIP code is the unit of local exposure, for the reasons set out in Section 2.2. As a stricter validation, I also report estimates using a standardized same-street-address exposure measure, which captures a high-intensity subset of exposure in which physical proximity is most direct. The same-address estimates are larger, consistent with the ZIP-code measure capturing a broader local exposure margin that attenuates the estimate toward zero by including branches with weaker customer-facing proximity.

I implement the stacked design as follows. For each treatment cohort, I construct an event-specific panel centered on the year misconduct is first revealed by an affiliated shared-location RIA. Treated branches are those exposed to that cohort's event, and control branches are clean controls not treated during the same event window. I then stack these cohort-specific panels into a single dataset.

The stacked specification is the following:

$$\ln(Deposits_{i,b,p,z,t,c}) = \beta\, Post_{Share\ Location_{i,b,p,z,t,c}} + \alpha_{i,c} + \delta_{z,t,c} + \lambda_{b,t,c} + \phi_{p,t,c} + \varepsilon_{i,b,p,z,t,c}, \quad (3)$$

where indices are as in Equation (2) and c indexes treatment cohorts. Stacking the panels introduces the cohort index c on every variable, so each observation belongs to a specific cohort-event-time cell, and $Post_{Share\ Location_{i,b,p,z,t,c}}$ equals one for treated branches in cohort c in years after that cohort's misconduct revelation.

Within each cohort-specific panel, treated branches are bank branches locally exposed to that cohort's misconduct event in the same ZIP code as a misconduct-revealed shared-location RIA. Control branches satisfy two conditions: (i) they are never treated during the sample period, and

(ii) they are located in ZIP codes that experience at least one shared-location misconduct revelation at some point during the sample period. The second condition restricts identification to within ZIP codes that ever host a shared-location misconduct revelation, holding regional culture related to financial misconduct fixed (Parsons et al., 2018) and identifying the effect from variation in the timing of misconduct revelations across comparable local markets.

All fixed effects are interacted with cohort indicators: cohort × branch ($\alpha_{i,c}$), cohort × ZIP-code × year ($\delta_{z,t,c}$), cohort × bank × year ($\lambda_{b,t,c}$), and cohort × branch-type × year ($\phi_{p,t,c}$). Each absorbs the same variation as its counterpart in Equation (2), now within each event-specific panel.

This design compares treated branches with never-treated controls drawn from the same ever-exposed local markets within the same event window, and avoids comparisons between newly treated and already-treated units, to alleviate the concern that using already-treated units as controls can bias two-way fixed-effects estimates under staggered treatment timing (Goodman-Bacon, 2021). The coefficient β identifies whether branches exposed to misconduct by affiliated shared-location RIAs experience abnormal deposit changes relative to branches in the same local market, the same banking organization, and the same event-specific comparison group.

To examine treatment dynamics and assess the parallel-trends assumption, I estimate the following event-study specification around the first misconduct revelation by an affiliated shared-location RIA:

$$\ln(Deposits_{i,b,p,z,t,c}) = \sum_{\tau=-3(\neq -1)}^{2} \beta_\tau \, I_{i,b,p,z,t,c}(\tau) + \alpha_{i,c} + \delta_{z,t,c} + \lambda_{b,t,c} + \phi_{p,t,c} + \varepsilon_{i,b,p,z,t,c}, \quad (4)$$

where indices are as in Equation (3) and τ indexes event time relative to the first misconduct revelation at an affiliated shared-location RIA. As in the stacked specification in Eq. (3), the event study is estimated on cohort-specific event panels, with all fixed effects interacted with cohort indicators. The event-time indicator $I_{i,b,p,z,t,c}(\tau)$ equals one if year t is τ years relative to that revelation for branch i of bank b and branch type p, in ZIP code z and cohort c, and zero otherwise. The omitted base period is $\tau = -1$. Following McCrary (2007), Borusyak and Jaravel (2017), and Schmidheiny and Siegloch (2023), I bin the endpoints, so that $\tau = -3$ collects all branch-years three or more years before the revelation and $\tau = 2$ collects all branch-years two or more years after. Endpoint binning is necessary because dynamic event-study specifications with unit and time fixed effects are under-identified without such a restriction, and because unbinned coefficients far from the event would otherwise be estimated from only a small, non-random subset of cohorts. Standard errors are clustered at the bank level. The coefficients β_τ trace deposit dynamics at treated branches relative to the base year, compared with control branches in the same bank, ZIP-code × year, and cohort panel.

5. Results

5.1 Bank Branch Deposits

Table 3 reports the baseline estimates of the effect of RIA misconduct on deposits at exposed bank branches. Standard errors are clustered at the bank level. Panel A reports the baseline difference-in-differences estimates. Column (1) reports estimates of Eq. (1) and includes both $Post_{Bank}$ and $Post_{Share\ Location}$, along with branch, ZIP-code × year, and branch-type × year fixed effects. The coefficient on $Post_{Bank}$ is statistically insignificant, indicating that misconduct at an affiliated RIA does not generate a deposit response common to all branches of the affected bank. The coefficient on $Post_{Share\ Location}$, by contrast, is negative and statistically significant, indicating that the deposit response is concentrated at branches locally exposed to the misconduct-revealed affiliated RIA. Columns (2) through (4) report estimates of Eq. (2), which saturate the specification with bank × year fixed effects that absorb $Post_{Bank}$. The coefficient on $Post_{Share\ Location}$ remains negative and statistically significant across all of these specifications. Columns (1) and (2) use the full sample of ZIP codes, while columns (3) and (4) restrict the sample to ZIP codes that ever experience a shared-location misconduct revelation, which holds fixed unobserved variation in regional culture related to financial misconduct (Parsons et al., 2018). Branches locally exposed to a misconduct-revealed shared-location RIA experience deposit declines of 3.7 to 5.2 percent relative to other branches of the same bank in other ZIP codes and to other banks' branches in the same ZIP code, holding branch type and year fixed.

Having established a significant effect at locally exposed branches, I next estimate the stacked specification in Eq. (3). Panel B reports the results. The preferred stacked specification includes cohort × branch, cohort × ZIP-code × year, cohort × bank × year, and cohort × branch-type × year fixed effects. The coefficient is −0.042, indicating a decline in deposits of approximately 4.2 percent at exposed branches, close to the baseline difference-in-differences estimates in Panel A. Because this specification absorbs all bank-wide variation through cohort × bank × year fixed effects, the estimate reflects within-bank, within-local-market variation rather than the average effect of misconduct on the affiliated bank as a whole. Because the stacked design compares treated branches only with clean controls within the same event window, this consistency indicates that the baseline result is not an artifact of the negative weighting that can affect two-way fixed-effects estimators under staggered treatment timing.

The estimated magnitudes reflect a reallocation of deposits across banks within the local market rather than a net contraction of local deposits. As discussed in Section 4, interpreting the branch-level decline as a system-wide deposit loss would double-count the effect, since deposits leaving an exposed branch are largely captured by competing banks nearby (Homanen, 2022). Section 7 confirms this by showing that aggregate ZIP-code deposits do not decline.

Figure 3 presents event-study estimates from Eq. (4). The pre-revelation coefficients are small and statistically indistinguishable from zero, providing no evidence of differential pre-trends. This pattern supports the identifying assumption that treated and control branches were on similar deposit trajectories before the misconduct revelation, and it mitigates the concern that deteriorating local conditions jointly drive deposit flows and the timing of adviser misconduct. Deposits decline beginning in the revelation year and persist afterward, becoming statistically significant two years after the revelation. This timing is consistent with depositors responding to the arrival of reputational information about the affiliated adviser and the broader organization.

5.2 Distance Gradient and Same-Address Robustness

A key interpretive question is whether the deposit response reflects genuine local exposure to the affiliated adviser, or instead an artifact of assigning treatment to every branch in the ZIP code, including branches that are not genuinely exposed. The distance gradient and the stricter same-address measure address this question directly. Beyond serving as robustness checks, both tests also speak to the mechanism: the information-updating mechanism described in Section 1 requires that customers can observe the bank-adviser link in order to update on it, and physical proximity is precisely what makes that link visible. A response that strengthens with proximity is therefore both a validation of the ZIP-code measure and a confirmation of the observability condition the mechanism depends on.

To assess how the deposit response varies with geographic proximity to the misconduct-revealed adviser, I examine treatment heterogeneity by distance. Households are more sensitive to misconduct by nearby firms (Giannetti and Wang, 2016), and prior work shows that financial decisions follow local social patterns that attenuate with distance (Pool et al., 2015; Gurun et al., 2018). Accordingly, I re-estimate the baseline specification with indicators for whether the closest misconduct-revealed affiliated RIA is within one mile of the branch's ZIP code, from 1 to 5 miles, from 5 to 20 miles, from 20 to 50 miles, or from 50 to 100 miles of the ZIP code.

Figure 4 plots the resulting coefficients. Standard errors are clustered at the bank and branch-type levels, accommodating within-bank residual correlation (Petersen, 2009) as well as within-branch-type correlation arising from shared operating characteristics across branches of the same type (Abadie et al., 2023). The deposit response is clearly monotonic in distance: branches whose ZIP code is within one mile of an affiliated misconduct-revealed RIA experience a decline in deposits of 12.7 percentage points, and those between one and five miles a decline of 2.1 percentage points, while branches more than five miles away show no evidence of changes in abnormal deposits.

This distance gradient supports the customer-facing integration mechanism and helps address the concern that ZIP-code assignment is too broad. If the response were driven by a bank-wide shock, distance from the affiliated adviser should not predict the deposit response after controlling for bank $\times$ year fixed effects. If the response were driven by a local economic shock, other banks in the same ZIP code should be similarly affected. Instead, the effect is concentrated where the bank-adviser link is geographically most proximate and most visible to customers. The distance evidence also clarifies the economic content of the shared-location disclosure: the paper does not claim that all branches of an affiliated bank are equally exposed to adviser misconduct, but rather that exposure is strongest where customers are most likely to observe the connection between the banking and advisory businesses, which is the observability condition under which the updating mechanism operates.

As a stricter validation of the baseline measure, Table 4 reports estimates of Eq. (2) using a same-address exposure measure that captures the strictest and most direct form of physical proximity. Standard errors are clustered at the bank level. To estimate the effect on affiliated bank branches sharing the same street address as the misconduct-revealed RIA, I construct $Post_{Same\ Address}$, an indicator equal to one in years after misconduct is revealed at an affiliated shared-location RIA whose standardized street address matches that of the branch. The coefficient on $Post_{Same\ Address}$ is negative and statistically significant across all specifications. The magnitude is comparable to the closest-distance estimates in Figure 4 and larger than the baseline estimates in Table 3. This pattern indicates that the baseline findings are not an artifact of assigning exposure at the ZIP-code level. If anything, the broader ZIP-code measure attenuates the estimate toward zero by including branches with weaker customer-facing proximity, so the effect is stronger when exposure is measured using the strictest physical-proximity definition.

6. Mechanisms

The baseline results establish that branches locally exposed to a disclosed adviser-bank relationship lose deposits after adviser misconduct. To explore the mechanism behind this response, I examine how it varies with the type of misconduct, its severity, the adviser's retail orientation, and the visibility of the bank-adviser link through brand and proximity. Examining these dimensions helps distinguish information updating about organizational quality, described in Section 1, from a uniform response to any adviser misconduct. I interact $Post_{Share\ Location}$ with each source of heterogeneity and report results in Table 5. Standard errors are clustered at the bank and branch-type levels.

6.1 Misconduct Type and Severity

Column (1) of Table 5 examines whether the deposit response varies by the type of misconduct. Following the four-way classification described in Section 3 (transaction-related, disclosure-related, compliance-related, and miscellaneous misconduct), I interact $Post_{Share\ Location}$ with each misconduct type.[3]

Deposit withdrawals are concentrated in transaction- and disclosure-related misconduct, while compliance-related misconduct generates no comparable response. This selectivity matches the information-updating mechanism: regulatory actions cover a broad range of violations, but only some carry information about the organizational attributes depositors care about. Transaction- and disclosure-related misconduct bear directly on customer treatment, conflicts of interest, and the integrity of financial advice, while compliance violations are largely procedural and reveal little about how the organization treats its customers. Depositors filter misconduct for its informational content about organizational quality, rather than responding to the mere presence of an enforcement action (Dimmock and Gerken, 2012; Egan et al., 2019; Liang et al., 2020).

Column (2) of Table 5 examines whether the deposit response varies with the severity of the misconduct, measured by the monetary fine imposed on the affiliated RIA. This measure reflects the assumption that more serious infractions result in larger penalties. I interact $Post_{Share\ Location}$ with the logarithm of the fine amount.[4]

[3] See Liang et al. (2020), who show that transaction-related misconduct typically triggers the strongest investor distrust.

[4] Appendix Figure A.2 shows that the distribution of fines is highly right-skewed, consistent with the penalty distribution documented in Egan et al. (2019). The logarithmic transformation addresses this skewness directly (Wooldridge,

The coefficient on the interaction between $Post_{Share\ Location}$ and the log fine amount is negative and statistically significant, indicating that larger fines are associated with larger deposit withdrawals. A doubling of the fine amount is associated with an additional 0.2 percentage-point decline in branch deposits at exposed branches. The pattern is consistent with the mechanism, under which a stronger signal produces a larger revision of beliefs. Larger penalties reflect more serious regulatory concerns, greater customer harm, and more visible enforcement, so if depositors treat misconduct as evidence about organizational quality, more severe signals should generate proportionally stronger responses. The result aligns with Egan et al. (2019), who find that more severe misconduct incurs stronger penalties and stronger investor reactions.

6.2 Retail Client Exposure

Column (3) of Table 5 examines whether spillovers vary with the client composition of the misconduct-revealed RIA. RIAs differ in whether they primarily serve individual households or institutional investors, and the updating mechanism should operate more strongly when the affiliated adviser is more household-facing, since households face greater information asymmetry about organizational quality than sophisticated institutional investors. Retail-oriented advisers are more likely to overlap with the customer base of local bank branches (Foerster et al., 2017), and their misconduct is both more visible to households (Gurun et al., 2018; Liang et al., 2020) and more informative about the customer-facing conduct of the organization that also runs the branch (Egan et al., 2019). Misconduct at institutionally focused advisers, by contrast, is unlikely to be

2010). It compresses the right tail so that the estimated semi-elasticity reflects proportional differences in penalties rather than being driven by a small number of extreme fines. The severity result also does not depend on the cardinal fine scale, since the categorical misconduct-type interactions in column (1) and the retail-client-exposure interactions in column (3), neither of which is subject to this skew, point to the same informativeness-based ordering of the deposit response.

as visible to retail depositors or as informative about how the bank treats its customers. I measure the retail orientation of each RIA using Form ADV disclosures, which require RIAs to report the share of their clients who are individual retail investors, other than high-net-worth individuals, in the ranges below 10%, 10% to 25%, 25% to 50%, 50% to 75%, and 75% to 100%. I interact $Post_{Share\ Location}$ with indicators for these ranges.[5]

Column (3) of Table 5 shows that the deposit response is monotonically increasing in the retail-client share of the misconduct-revealed adviser. Exposed branches affiliated with RIAs in the most retail-heavy category, in which at least 75% of clients are individual retail investors, experience the largest deposit declines. The effect is substantially smaller, though still statistically distinguishable from zero, among RIAs in the most institutional category. The pattern is consistent with the information-updating mechanism: misconduct at advisers whose client base most directly overlaps with the bank's depositors carries the most informative signal about how the affiliated organization treats its retail customers, and is also the most visible to households through shared customer-facing operations. Retail depositors also face the greatest information asymmetry about organizational quality, so a signal about how the organization treats retail customers gives them the most to learn and prompts the strongest revision of beliefs.

6.3 Common Brand

Column (4) of Table 5 examines whether the deposit response is stronger when the bank and affiliated RIA share a common brand. The updating mechanism makes a sharp prediction here: a depositor can only update on the bank-adviser link if she can observe it, and a shared brand is

[5]When a treated bank branch is exposed to multiple affiliated shared-location RIAs in the same year, I assign the branch a retail-share category based on the assets-under-management-weighted average of the median retail-client ratio of each RIA's reported category.

the single most visible signal that the two entities belong to the same organization. The response should therefore be concentrated among common-brand affiliations. I define a binary variable, $\mathbb{1}\{Common\ Brand\}$, equal to one if the bank shares a brand name with its affiliated RIA.

Conditional on treatment, 91 percent of treated bank branches share a common brand name with their affiliated misconduct-revealed RIA. The non-common-brand subsample yields significantly positive coefficients, but the subsample is too small and concentrated to support a credible separate inference.[6] I therefore estimate the cross-sectional effect on the sample of common-brand affiliations, where the effect is reliably identified.

Among common-brand affiliations, the deposit response is negative and statistically significant: exposed branches experience a decline of approximately 4.6 percentage points. The pattern is consistent with the mechanism, under which shared identity makes the organizational link observable, and observability allows the misconduct signal to transmit to the bank. The pattern is also consistent with the warning of the Office of the Comptroller of the Currency that banks actively associating their names with financial products and services face greater reputational exposure (Office of the Comptroller of the Currency, 1996). Common branding is therefore not merely a descriptive feature of the sample. It is a central channel through which reputational information propagates across affiliated intermediaries.

Taken together, the four patterns are consistent with rational updating about organizational quality and indicate that depositors filter rather than respond uniformly to any adviser misconduct. Depositors respond to misconduct that is informative and not to misconduct that is not, respond

[6]The non-common-brand interaction is identified from only 118 treated branch-year observations in the post-revelation period, of which roughly two-thirds belong to a single treatment cohort and nearly one-third to a single banking institution. A cell of this size cannot reliably separate the treatment effect from contemporaneous local and bank-level shocks, even within the cohort-interacted fixed-effects structure.

more to stronger signals, respond more when the adviser is closer to households' own banking relationships, and respond only when they can observe the organizational link.

7. Bank Deposit Reallocation

Do the deposit withdrawals at exposed branches reflect a decline in total local deposits or a reallocation across banks within the same local market? If adviser misconduct caused households to distrust the local banking system broadly, aggregate ZIP-code deposits would decline. If depositors instead update about a specific affiliated organization, deposits should move away from the exposed branch and toward other banks in the same ZIP code, leaving aggregate ZIP-code deposits roughly unchanged. The updating mechanism predicts the latter: a depositor who has revised her assessment of one organization downward has no reason to revise her assessment of its local competitors, and so reallocates rather than exits.

I aggregate branch-level deposits to the ZIP-code level and estimate a stacked difference-in-differences specification:

$$\ln(ZIP\,Deposits_{z,t,c}) = \beta\, Post_{Share\,Location_{z,t,c}} + \alpha_{z,c} + \delta_{g,t,c} + \varepsilon_{z,t,c}, \quad (5)$$

where z indexes ZIP codes, t indexes years, c indexes treatment cohorts, and g indexes the geographic unit (state or county) used to absorb local time-varying shocks. The dependent variable, $\ln(ZIP\,Deposits_{z,t,c})$, is the natural logarithm of aggregate deposits across all bank branches operating in ZIP code z during year t within event-cohort c. The treatment indicator $Post_{Share\,Location_{z,t,c}}$ equals one for ZIP codes in cohort c that contain at least one bank branch locally exposed to a misconduct-revealed affiliated shared-location RIA, in years after the misconduct revelation, and zero otherwise. Cohort × ZIP-code fixed effects, $\alpha_{z,c}$, absorb persistent differences across ZIP codes within each event-specific panel. Cohort × geography × year fixed effects, $\delta_{g,t,c}$, absorb local time-varying shocks at the state or county level depending on the specification, so that the comparison is made within geographic markets that face the same macro or regional conditions in a given year. Table 6 reports the estimates. Standard errors are clustered at the ZIP-code level.

Table 6 shows little evidence of a decline in aggregate ZIP-code deposits once local time-varying shocks are absorbed. In the most demanding specifications (columns (2) and (4)), the estimated effects are small and statistically insignificant. Aggregate deposits do not appear to leave the local banking market. Instead, customers reallocate funds away from exposed branches and toward other banks operating in the same ZIP code.

This pattern is consistent with the mechanism's prediction and with a broader literature documenting that depositor responses to bank-specific information are selective rather than systemic. Bank-specific signals trigger targeted deposit outflows: Chen et al. (2022) show that uninsured deposit flows respond to bank-specific performance information, and Martin et al. (2026) document that depositors exit a distressed bank on bad news, a response driven by bank-specific information rather than market-wide conditions. The within-market reallocation I document closely mirrors Kang et al. (2026), who show that depositors reallocate uninsured funds from misconduct-revealed banks to non-misconduct peer branches in the same local market, leaving aggregate market deposits roughly unchanged outside crisis periods. The evidence therefore points to targeted depositor discipline directed at the visibly affiliated bank branch rather than a generalized withdrawal from the banking system. It also addresses the concern that branch-level estimates reflect local economic shocks: a local demand shock would reduce aggregate ZIP-code deposits, not merely reallocate them across banks, so the within-market stability of aggregate deposits is inconsistent with the alternative that the branch-level decline is driven by local economic conditions correlated with the timing of adviser misconduct.

8. Quasi-natural Experiment: 2003 Mutual Fund Scandal

The baseline analysis identifies the effect from the staggered timing of many misconduct revelations, but ordinary regulatory actions vary in salience and the timing of public awareness can be hard to measure. To corroborate the baseline evidence with a single, highly salient shock whose timing is sharply identified, I examine the 2003 mutual fund scandal. Because the reputational shock originates in the advisory and asset-management sector while the outcome is deposit behavior at affiliated bank branches, the scandal provides a complementary test of the same cross-sector transmission examined in the baseline analysis.

The paper's identification rests primarily on the baseline design. The scandal analysis exploits different identifying variation: the baseline relies on the staggered timing of many small misconduct revelations, while the scandal exploits cross-sectional variation in local exposure and public attention to a single sector-wide shock concealed long before its disclosure.

8.1 Institutional Background

On September 3, 2003, the New York Attorney General issued a complaint against several investment advisers alleging abusive trading practices that allowed selected clients to profit at the expense of ordinary fund investors. Following this complaint, regulators launched investigations across the mutual fund industry, and the scandal revealed widespread late trading and market-timing practices in asset management.

A key feature of the scandal is that it was a sudden public revelation of long-concealed misconduct. The abusive trading practices had begun by at least the mid-1990s, but the conduct of the implicated fund families was not public knowledge before September 2003 (McCabe, 2009; Zitzewitz, 2006). The revelation date is therefore sharply identified and unlikely to be driven by local deposit-market conditions or the contemporaneous condition of the affiliated banks.

Two further features of the setting strengthen the analysis. First, the timing is set by the public revelation rather than by the underlying conduct, which mitigates the concern that local customers became aware of the misconduct before regulators did. Second, because the RIAs implicated in the scandal were major players in the investment advisory industry, I can identify the banks that belong to the same financial group as the misconduct-revealed RIAs and estimate how their affiliated branches were affected relative to other banks. I collect detailed data on the 2003 mutual fund scandal from Houge and Wellman (2005) and Qian (2011). Appendix Table A.3 lists the mutual fund families implicated in the scandal, the initial news date of the misconduct, the abusive trading strategies employed, the regulatory agencies involved, and the parent company of the main adviser for each fund family.

8.2 Empirical Design

I construct a bank branch-year panel around the mutual fund scandal and estimate a stacked difference-in-differences specification analogous to Eq. (3). Because Form ADV Schedule D Section 7.A shared-location disclosures are only available from 2012 onward, I cannot directly observe whether an RIA implicated in the 2003 scandal reported sharing a physical location with its affiliated banking institution at the time of the scandal. I therefore define treatment based on ZIP-code co-location alone: a bank branch is treated if it operates in the same ZIP code as an affiliated RIA connected to the scandal, without conditioning on a shared-location disclosure that did not yet exist in the regulatory filings. This construction is the natural counterpart to the baseline measure for the pre-disclosure period: it captures the same local-market exposure margin discussed in Section 2.2, and the baseline evidence shows that this ZIP-code measure is conservative relative to a stricter same-address measure.

To measure geographic variation in public attention to the scandal, I follow Yang (2023) and use Google Trends data for the topic "Mutual Fund Scandal." Geographic variation in scandal-related search intensity is informative about regional differences in trust shocks to banks, which motivates its use as a proxy for local public attention. I measure search intensity over 2004 to 2006 using the Google Trends "Interest by Subregion" index, normalized so that the state with the greatest relative intensity equals one.[7]

Following the stacked difference-in-differences design used in the baseline analysis, I estimate the following specification:

$$\ln(Deposits_{i,b,p,z,t,c}) = \beta\, Post_{Share\ Location_{i,b,p,z,t,c}} \times Index_s + \alpha_{i,c} + \delta_{z,t,c} + \lambda_{b,t,c} + \phi_{p,t,c} + \varepsilon_{i,b,p,z,t,c}, \tag{6}$$

where i indexes branches, b indexes banks, p indexes branch types, z indexes ZIP codes, t indexes years, s indexes states, and c indexes the scandal-event cohort. $Post_{Share\ Location_{i,b,p,z,t,c}}$ equals one for branches that operate in the same ZIP code as an affiliated RIA connected to

[7] Because Google Trends data begin in 2004, the index captures the persistence of local public attention in the years following the September 2003 revelation rather than attention at the moment of the shock.

the mutual fund scandal, in years after the September 2003 revelation, and zero otherwise, mirroring the baseline treatment indicator. $Index_s$ is a state-level, time-invariant measure of public attention to the scandal based on Google Trends, as described above. The interaction term $Post_{Share\ Location_{i,b,p,z,t,c}} \times Index_s$ captures how the deposit response to scandal exposure varies with local public attention. The fixed effects are defined analogously to the stacked baseline specification (Eq. (3)) and absorb persistent branch characteristics, local deposit-market shocks, bank-level shocks, and branch-type-specific deposit dynamics within each cohort.

Control branches satisfy two conditions: (i) they are never treated during the sample period, and (ii) they are located in ZIP codes that host at least one mutual-fund-scandal-implicated RIA. The second condition restricts identification to within ZIP codes that ever host a scandal-implicated RIA, paralleling the ever-misconduct-ZIP-code restriction in the baseline analysis and holding regional culture related to financial misconduct fixed. Standard errors are clustered at the bank and branch-type levels, accommodating within-bank residual correlation (Petersen, 2009) as well as within-branch-type correlation arising from shared operating characteristics across branches of the same type (Abadie et al., 2023).

To examine post-scandal deposit dynamics, I also estimate an event-study version of Eq. (6) that replaces the post-revelation indicator with a set of event-time indicators:

$$\begin{aligned}\ln(Deposits_{i,b,p,z,t,c}) = &\sum_{\tau=-3(\neq-1)}^{2} \beta_\tau\, I_{i,b,p,z,t,c}(\tau) \times Index_s \\ &+ \alpha_{i,c} + \delta_{z,t,c} + \lambda_{b,t,c} + \phi_{p,t,c} + \varepsilon_{i,b,p,z,t,c},\end{aligned} \tag{7}$$

where τ indexes event time relative to the September 2003 scandal revelation, and the remaining indices (i, b, p, z, t, s, c) and variables follow Eq. (6). The event-time indicator $I_{i,b,p,z,t,c}(\tau)$

equals one if branch i is treated, operating in the same ZIP code as a scandal-connected affiliated RIA, and year t is τ years relative to the revelation, and zero otherwise. The omitted base period is $\tau = -1$, and endpoints are binned as in Eq. (4).

Figure 5 summarizes the geographic variation underlying the scandal analysis. Panel A maps the ZIP codes where scandal-connected RIAs share a location with their affiliated banks, and Panel B maps the state-level Google Trends attention index. The figure shows considerable cross-state variation in public attention, which provides the identifying variation for the heterogeneity test in Eq. (6) and Eq. (7): if reputational transmission operates through customer awareness, deposit responses should be stronger in areas where the scandal remained more salient after its revelation.

8.3 Results

Table 7 reports the estimates on Eq. (6). Across all specifications, the coefficient on the interaction between post-scandal exposure and public attention is negative and statistically significant, indicating that branches locally exposed to scandal-connected affiliated advisers experience larger deposit withdrawals in areas where the scandal was more salient. The estimated effect is also economically meaningful. The coefficient on the interaction term implies that a one-standard-deviation increase in local public attention to the scandal is associated with a 7.4 percentage point larger deposit decline at treated branches, relative to control branches, in the post-scandal period compared with before.

Figure 6 presents event-study estimates of Eq. (7) for the mutual fund scandal experiment. The pre-scandal coefficients are small and statistically indistinguishable from zero, providing no evidence of differential pre-trends and indicating that exposed and control branches were on similar deposit trajectories before the scandal. After the scandal, deposits decline at exposed branches, and the decline is more pronounced in areas with greater public attention. The effect becomes statistically significant one year after the scandal and persists thereafter.

The scandal evidence corroborates the baseline results. A salient, sharply timed shock in the advisory sector is associated with deposit withdrawals at locally exposed affiliated bank branches, particularly where public attention is greater. The attention-conditional response is itself informative about the mechanism: it indicates that customers respond to the scandal revelation only when the information is salient enough to reach them, paralleling the observability condition documented in the baseline cross-sectional tests through the common-brand and distance-gradient results. Because the scandal was a sudden revelation of long-concealed misconduct, with the concealed practices documented in the academic literature long before public disclosure (Bhargava et al., 1998; Goetzmann et al., 2001; Greene and Hodges, 2002; McCabe, 2009), the pattern is hard to attribute to endogenous misconduct timing or to omitted local shocks: the scandal's timing was set by the regulatory revelation rather than by the underlying conduct, and the cross-state variation in the deposit response is identified by post-scandal attention rather than by the shock date itself. Together with the baseline staggered design, the scandal evidence shows that the same cross-sector transmission appears in two settings with fundamentally different sources of identifying variation, which is harder to explain by features of either design alone.

9. Real Effects: Bank Branch Closure

To estimate whether the documented deposit response translates into real operational consequences for affiliated banks, I examine bank branch closures. Branch closures carry real consequences for local economies, reducing small-business lending and employment within the affected market

(Nguyen, 2019), raising borrowing costs for firms whose lending relationships are involuntarily transferred to new banks (Bonfim et al., 2021), and reshaping the geographic footprint of banking access in areas where depositor preferences are shifting (Narayanan et al., 2025). Existing work attributes closure decisions primarily to demographic, technological, and franchise-value drivers.

This paper introduces a different driver of bank branch closure: reputational exposure to misconduct at affiliated investment advisers. If depositor outflows following adviser misconduct reduce branch profitability, banks may close affected branches more frequently than they would otherwise. The closure analysis tests this prediction directly.

Following Narayanan et al. (2025), I estimate a stacked difference-in-differences specification:

$$\begin{aligned}\mathbb{1}\{Close_{i,b,p,z,t+1,c}\} = \beta\ \left(Post_{t,c} \times Branch_{Share\ Location_{i,c}}\right) \\ + \gamma\ Branch_{Share\ Location_{i,c}} + \delta_{z,t,c} + \lambda_{b,t,c} + \phi_{p,t,c} + \varepsilon_{i,b,p,z,t,c},\end{aligned} \tag{8}$$

where the index structure (i, b, p, z, t, c) follows Eq. (3). The dependent variable $\mathbb{1}\{Close_{i,b,p,z,t+1,c}\}$ is an indicator equal to one if branch i of branch type p in cohort c closes in year $t+1$, and zero otherwise. The lead-by-one-year structure aligns the closure outcome with the exposure variable measured at year t, so that exposure in t predicts closure in the subsequent year. $Post_{t,c}$ is an indicator equal to one in years after the misconduct revelation in cohort c, and $Branch_{Share\ Location_{i,c}}$ is a time-invariant indicator equal to one for branches ever exposed to a misconduct-revealed shared-location RIA within cohort c. Their interaction $Post_{t,c} \times Branch_{Share\ Location_{i,c}}$ is the local treatment indicator, identical to $Post_{Share\ Location}$ in the deposit specifications. Because a branch closes at most once, closure is an absorbing outcome and I do not include branch fixed effects. Instead, $Branch_{Share\ Location_{i,c}}$ absorbs the level difference in closure rates between treated and control branches. Following Narayanan et al. (2025), who document that branch closures are driven primarily by bank-level repositioning around deposit franchise value and by local-market conditions, the bank × year and ZIP-code × year fixed effects absorb bank-wide closure waves and local economic conditions, and the branch-type × year fixed effects absorb differential closure patterns across branch types. The coefficient β on the interaction $Post_{t,c} \times Branch_{Share\ Location_{i,c}}$ identifies whether branches locally exposed to a misconduct-revealed shared-location RIA become more likely to close than other branches of the same bank in other ZIP codes and other banks' branches in the same ZIP code, within the same branch-type, year, and cohort panel.

The closure response is the long-run analog of the deposit response. Depositor outflows reduce branch profitability, deposit franchise value, and the local customer base, all of which feed into the bank's branch-network optimization decision. The same observability conditions that govern the deposit response, including common branding and physical proximity to the misconduct-revealed adviser, should therefore also govern the closure response: closures should be concentrated at the branches whose deposit franchise is most directly damaged, rather than spread uniformly across the bank's local network.

Figure 7 provides descriptive evidence on the relationship between adviser misconduct and branch closure. The figure compares closure probabilities for branches locally exposed to a misconduct-revealed shared-location RIA with those of clean control branches drawn from the same event-cohort panel. Treated branches exhibit visibly higher closure probabilities than control branches, indicating that elevated branch exit accompanies the deposit withdrawals documented in the baseline analysis. Table 8 reports the regression estimates of Eq. (8). Standard errors are clustered at the bank level. Across specifications, the coefficient on the treatment indicator is statistically significant and consistent with elevated closure probabilities at treated branches. The effect persists after the inclusion of cohort × bank × year, cohort × ZIP-code × year, and cohort × branch-type × year fixed effects, indicating that the closure response is not driven by bank-wide closure waves, local economic downturns, or differential closure patterns across branch types.

These results extend the deposit findings to real operational consequences. Reputational exposure to misconduct at an affiliated adviser leads not only to short-run deposit withdrawals but to long-run changes in the bank branch network. Because branch closures are associated with reduced credit access, lost soft information, and weaker local economic outcomes (Nguyen, 2019; Bonfim et al., 2021), the cross-sector reputational spillover identified in this paper has implications beyond the affected bank: it shapes the availability of banking services in affected local markets, and the social cost of advisory misconduct measured solely by client-level effects therefore understates the full economic impact. From a supervisory perspective, the finding suggests that the customer-facing visibility of bank-adviser affiliations is itself a determinant of bank fragility, and that disclosure-based identifiers of such affiliations can help regulators anticipate downstream effects on local banking infrastructure.

10. Conclusion

Financial intermediaries increasingly operate through integrated business models that combine banking, advisory, brokerage, and wealth-management services. These arrangements create value by allowing firms to share brands, customer relationships, referral networks, and, in some cases, physical locations. This paper shows that the same customer-facing integration also creates reputational fragility.

Bank branches locally exposed to misconduct by affiliated investment advisers that disclose sharing a physical location with a related banking institution experience significant customer withdrawals. The response is selective. It is concentrated in misconduct informative about customer treatment, scales with severity, and is stronger for retail-facing advisers and common-brand affiliations. The pattern is consistent with customers updating their assessment of the affiliated advisory organization from the misconduct signal. Collective reputation allows that signal to cross the boundary between two legally distinct intermediaries: because customers cannot fully separate an affiliate's conduct from the quality of the shared organization, information about the adviser becomes information about the bank. Customer outflows reallocate to unaffected local competitors rather than exiting the banking system. Aggregate ZIP-code deposits do not decline significantly after controlling for local time-varying shocks. The 2003 mutual fund scandal corroborates these findings using a single salient shock. Exposed branches are also more likely to close, indicating that reputational spillovers have real operational consequences.

Depositors respond not only to bank-specific balance-sheet risk or bank misconduct but also to misconduct by affiliated non-bank financial firms when the affiliation is visible through customer-facing integration. This indirect form of depositor discipline indicates that organizational design, branding, and disclosed shared-location relationships shape the transmission of reputational shocks.

The results also highlight a tradeoff in financial conglomeration. Banks may benefit from extending their reputation and customer relationships to affiliated advisory services, but these same links can transmit reputational damage back to the banking business. Customer-facing integration is therefore both a source of value and a source of risk. In markets where trust and reputation are central, the reach of reputational exposure may extend well beyond the boundaries of a single regulated sector.

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Table 1: Financial Industry Affiliation

This table reports financial-industry affiliations disclosed by RIAs in Form ADV. Panel A reports the number and percentage of annual Form ADV filings that disclose affiliations with specific financial industries (banking or thrift institutions, broker-dealers, insurance companies, trust companies, and other investment advisers), as reported in Item 7.A. The sample includes filings submitted between 2012 and 2021. Panel B provides illustrative examples of bank-RIA affiliations: Name of Advisory Firm is the full legal name of the adviser, Filing Date is the date on which the Form ADV disclosed the affiliation, and Reported Affiliated Bank is the legal name of the related banking institution. Data source: SEC Form ADV.

Panel A: Affiliated Industry

Industry	Frequency	Ratio
Pooled investment vehicles	44,139	0.36
Other Adviser	41,933	0.34
Broker-dealer	23,335	0.19
Commodity adviser	21,210	0.17
Insurance company	19,715	0.16
Accounting firm	8,503	0.07
Banking or thrift institutions	7,751	0.06
Trust company	7,512	0.06
Limited partnerships	6,325	0.05
Pension consultant	5,989	0.05
Real estate broker	5,094	0.04
Law firm	4,463	0.04
Municipal advisor	3,187	0.03
Futures commission merchant	2,086	0.02
Swap dealer	736	0.01
Swap participant	82	0.00

Panel B: Examples of Affiliation with Banking Institutions

Name of Advisory Firm	Filing Date	Reported Affiliated Bank
Citigroup Global Markets Inc.	03/30/2012	Citibank, N.A.
Chase Investment Services Corp.	07/27/2012	J.P. Morgan Chase Bank
Nikko Asset Management Co Ltd	08/16/2012	Sumitomo Mitsui Trust Bank
Napier Park Capital Management LLC	12/06/2012	Citibank, N.A.
TCW Investment Management Co	12/20/2012	Société Générale Bank and Tust
Wells Fargo Advisors, LLC	07/24/2014	Wells Fargo Bank
Highbridge Capital Management, LLC	07/21/2014	J.P. Morgan Chase Bank N.A.
RBC Capital Markets, LLC	10/20/2014	Royal Bank OF Canada
Eagle Asset Management Inc.	06/17/2016	Raymond James Bank, N.A.
The Dreyfus Corporation	01/22/2018	The Bank of New York Mellon SA/NV
PNC Capital Advisors LLC.	03/29/2019	PNC Bank, N.A.

Table 2: Summary Statistics

This table reports summary statistics for the main variables used in the sample of FDIC-insured bank branches over the sample period 2012–2020. Mean, standard deviation, median, and number of observations are reported for each variable. Branch-level variables are computed from the FDIC Summary of Deposits branch-year sample. Deposit variables are expressed in millions of dollars. RIA characteristics (client composition, financial-industry affiliations, shared-location disclosures, and misconduct events) are from SEC Form ADV filings. ZIP-code-level variables are aggregated to the ZIP-year level. Refer to Appendix Table A.1 for variable definitions.

	Mean	SD	Median	N
Branch-Level Deposits				
Deposit	129.57	2292.01	45.87	794,983
ln(Deposits)	10.65	1.24	10.73	794,983
Post	0.24	0.42	0.00	794,983
$\text{Post}_{\textit{Share Location}}$	0.00	0.06	0.00	794,983
Branch Type Distribution (%)				
Brick & Mortar office	93.24	25.11	100.00	794,983
Retail office	5.62	23.03	0.00	794,983
Cyber office	0.17	4.07	0.00	794,983
Administrative office	0.03	1.71	0.00	794,983
Military facility	0.01	1.18	0.00	794,983
Drive-through facility	0.75	8.62	0.00	794,983
Mobile/Seasonal office	0.18	4.28	0.00	794,983
Trust office	0.00	0.59	0.00	794,983
Affiliated RIA-level Client Composition				
Indiv. Client Ratio $<$ 25%	0.09	0.29	0.00	1,989
25% $\leq$ Indiv. Client Ratio $<$ 50%	0.29	0.45	0.00	1,989
50% $\leq$ Indiv. Client Ratio $<$ 75%	0.22	0.42	0.00	1,989
Indiv. Client Ratio $\geq$ 75%	0.40	0.49	0.00	1,989
ZIP-Code Level Variables				
Deposits	576.84	6132.95	113.05	176,113
ln(Deposits)	11.67	1.61	11.64	176,113
$\text{Misconduct}_{\textit{Share Location}}$	0.03	0.16	0.00	176,113

Table 3: Effect of RIA Misconduct on Bank Deposits

This table reports estimates of the effect of RIA misconduct on branch-level bank deposits. The dependent variable is the natural logarithm of branch deposits. $Post_{Share\ Location}$ is an indicator equal to one in years after misconduct is revealed at an RIA that is affiliated with the bank, discloses sharing a physical location with a related banking institution, and operates in the same ZIP code as the branch. $Post_{Bank}$ is an indicator equal to one in years after misconduct is revealed at any affiliated shared-location RIA of the bank. Its coefficient is absorbed by bank × year fixed effects in columns that include them and is shown as blank. Panel A reports baseline difference-in-differences estimates of Eq. (1) in column (1) and Eq. (2) in columns (2)–(4). Panel B reports stacked difference-in-differences estimates of Eq. (3). Refer to Appendix Table A.1 for variable definitions. The sample period is 2012–2020. Standard errors, clustered at the bank level, are reported in parentheses. ***, **, and * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Baseline DiD

	ln(Deposits)			
	Full sample		Misconduct ZIP-code sample	
	(1)	(2)	(3)	(4)
$Post_{Bank}$	-0.022			
	(0.025)			
$Post_{Share\ Location}$	-0.053*	-0.052***	-0.040*	-0.037*
	(0.030)	(0.020)	(0.020)	(0.020)
Branch FE	Yes	Yes	Yes	Yes
Branch Type × Year FE	No	Yes	No	Yes
Zipcode × Year FE	Yes	Yes	Yes	Yes
Bank × Year FE	No	Yes	Yes	Yes
R^2	0.951	0.958	0.951	0.951
Observations	723,499	706,830	288,594	288,590

Panel B: Stacked DiD

	ln(Deposits)			
	(1)	(2)	(3)	(4)
$Post_{Share\ Location}$	-0.024	-0.056*	-0.054*	-0.042**
	(0.032)	(0.032)	(0.031)	(0.020)
Cohort × Branch FE	Yes	Yes	Yes	Yes
Cohort × Branch Type × Year FE	Yes	No	Yes	Yes
Cohort × Zipcode × Year FE	No	Yes	Yes	Yes
Cohort × Bank × Year FE	No	No	No	Yes
R^2	0.932	0.940	0.940	0.951
Observations	2,935,389	2,921,005	2,920,965	2,811,071

Table 4: Robustness: Same Street Address

This table reports robustness estimates using a stricter same-street-address exposure measure in place of the baseline ZIP-code measure. The dependent variable is the natural logarithm of branch deposits. $Post_{Same\ Address}$ is an indicator equal to one in years after misconduct is revealed at an affiliated shared-location RIA whose standardized street address matches that of the bank branch. The coefficient on $Post_{Bank}$ is absorbed by bank × year fixed effects in columns that include them and is shown as blank. Panel A reports baseline difference-in-differences estimates of Eq. (1) in column (1) and Eq. (2) in columns (2)–(4). Panel B reports stacked difference-in-differences estimates of Eq. (3). Refer to Appendix Table A.1 for variable definitions. The sample period is 2012–2020. Standard errors, clustered at the bank level, are reported in parentheses. ***, **, and * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Baseline DiD

	ln(Deposits)			
	Full sample		Misconduct ZIP-code sample	
	(1)	(2)	(3)	(4)
	(1)	(2)	(3)	(4)
$Post_{Bank}$	-0.008		-0.017	
	(0.014)		(0.015)	
$Post_{Same\ Address}$	-0.108**	-0.097***	-0.105**	-0.089***
	(0.049)	(0.031)	(0.048)	(0.032)
Cohort × Branch FE	Yes	Yes	Yes	Yes
Cohort × Branch Type × Year FE	Yes	No	Yes	Yes
Cohort × Zipcode × Year FE	No	Yes	Yes	Yes
Cohort × Bank × Year FE	No	No	No	Yes
R^2	0.951	0.958	0.941	0.951
Observations	723,495	706,830	299,628	288,590

Panel B: Stacked DiD

	ln(Deposits)			
	(1)	(2)	(3)	(4)
	(1)	(2)	(3)	(4)
$Post_{Same\ Address}$	-0.103**	-0.119**	-0.117**	-0.097***
	(0.045)	(0.048)	(0.048)	(0.032)
Cohort × Branch FE	Yes	Yes	Yes	Yes
Cohort × Branch Type × Year FE	Yes	No	Yes	Yes
Cohort × Zipcode × Year FE	No	Yes	Yes	Yes
Cohort × Bank × Year FE	No	No	No	Yes
R^2	0.932	0.940	0.941	0.951
Observations	2,983,407	2,969,320	2,969,280	2,858,950

Table 5: Mechanisms

This table reports cross-sectional tests of the effect of RIA misconduct on bank deposits, estimated from Eq. (3) with interactions between $Post_{Share\ Location}$ and each source of heterogeneity. The dependent variable is the natural logarithm of branch deposits. Column (1) interacts $Post_{Share\ Location}$ with indicators for transaction-related, disclosure-related, compliance-related, and miscellaneous misconduct types. Column (2) interacts $Post_{Share\ Location}$ with the natural logarithm of the monetary fine imposed on the affiliated RIA. Column (3) interacts $Post_{Share\ Location}$ with indicators for the share of individual retail clients reported by the RIA on Form ADV ($<$ 10%, 10–25%, 25–50%, 50–75%, $\geq$ 75%). Column (4) interacts $Post_{Share\ Location}$ with an indicator equal to one if the bank and affiliated RIA share a common brand name. Refer to Appendix Table A.1 for variable definitions. The sample period is 2012–2020. Standard errors, clustered at the bank and branch-type levels, are reported in parentheses. ***, **, and * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	ln(Deposits)			
	Misconduct type	Monetary Fine	Adviser Type	Brand Commonality
	(1)	(2)	(3)	(4)
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Transaction Misconduct}\}$	-0.047**			
	(0.013)			
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Disclosure Misconduct}\}$	-0.037**			
	(0.012)			
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Compliance Misconduct}\}$	0.017			
	(0.039)			
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Misc. Misconduct}\}$	-0.032			
	(0.021)			
$\text{Post}_{Share\ Location} \times \log(\text{Fine amount})$		-0.003***		
		(0.001)		
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Retail Clients Ratio} <25\%\}$			-0.026*	
			(0.013)	
$\text{Post}_{Share\ Location} \times \mathbb{1}\{25\% \leq \text{Retail Clients Ratio} <50\%\}$			-0.011	
			(0.047)	
$\text{Post}_{Share\ Location} \times \mathbb{1}\{50\% \leq \text{Retail Clients Ratio} <75\%\}$			0.014	
			(0.017)	
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Retail Clients Ratio} \geq 75\%\}$			-0.067***	
			(0.011)	
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Not Common Brand}\}$				0.339***
				(0.015)
$\text{Post}_{Share\ Location} \times \mathbb{1}\{\text{Common Brand}\}$				-0.046***
				(0.006)
Cohort × Branch FE	Yes	Yes	Yes	Yes
Cohort × Branch Type × Year FE	Yes	Yes	Yes	Yes
Cohort × Zipcode × Year FE	Yes	Yes	Yes	Yes
Cohort × Bank × Year FE	Yes	Yes	Yes	Yes
R^2	0.951	0.951	0.951	0.951
Observations	2,811,071	2,811,024	2,811,071	2,811,071

Table 6: ZIP-Code-Level Deposit Reallocation

This table reports ZIP-code-level analyses of aggregate bank deposits, estimated from Eq. (5). The dependent variable is the natural logarithm of aggregate bank deposits at the ZIP-code level. $Post_{Share\ Location}$ is an indicator equal to one in years after misconduct is revealed at an affiliated shared-location RIA in a ZIP code that contains at least one branch of the affiliated bank. The specifications test whether branch-level deposit withdrawals reflect aggregate local deposit contractions or reallocation across banks within the ZIP code. Refer to Appendix Table A.1 for variable definitions. The sample period is 2012–2020. Standard errors, clustered at the ZIP-code level, are reported in parentheses. ***, **, and * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	ln(ZIP Deposits)			
	Full Sample		Misconduct Zipcode sample	
	(1)	(2)	(3)	(4)
$\text{Post}_{Share\ Location}$	0.081***	0.040	0.022	0.009
	(0.028)	(0.031)	(0.030)	(0.038)
Cohort × Zipcde FE	Yes	Yes	Yes	Yes
Cohort × State × Year FE	Yes	No	Yes	No
Cohort × County × Year FE	No	Yes	No	Yes
R^2	0.981	0.983	0.965	0.967
Observations	1,717,557	1,664,042	262,937	220,661

Table 7: Experiment: 2003 Mutual Fund Scandal

This table reports estimates of the 2003 mutual fund scandal experiment from Eq. (6). The dependent variable is the natural logarithm of branch deposits. $Post_{Share\ Location}$ is an indicator equal to one for branches that operate in the same ZIP code as a scandal-connected affiliated RIA disclosing a shared-location relationship with a related banking institution, in years after the September 2003 scandal revelation, and zero otherwise. $Index$ is the state-level Google Trends search intensity for the topic "Mutual Fund Scandal" over 2004–2006, normalized so that the state with the greatest intensity equals one. Refer to Appendix Table A.1 for variable definitions. The sample period is 2001–2006. Standard errors, clustered at the bank and branch-type levels, are reported in parentheses. ***, **, and * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

	ln(Deposits)			
	(1)	(2)	(3)	(4)
$\text{Post}_{Share\ Location} \times$ Index	-0.171***	-0.174***	-0.257***	-0.259***
	(0.030)	(0.011)	(0.041)	(0.014)
Cohort × Branch FE	Yes	Yes	Yes	Yes
Cohort × Branch Type × Year FE	No	Yes	No	Yes
Cohort × County × Year FE	Yes	Yes	No	No
Cohort × Zipcode × Year FE	No	No	Yes	Yes
Cohort × Bank × Year FE	Yes	Yes	Yes	Yes
R^2	0.941	0.942	0.941	0.943
Observations	6,296	6,275	6,270	6,249

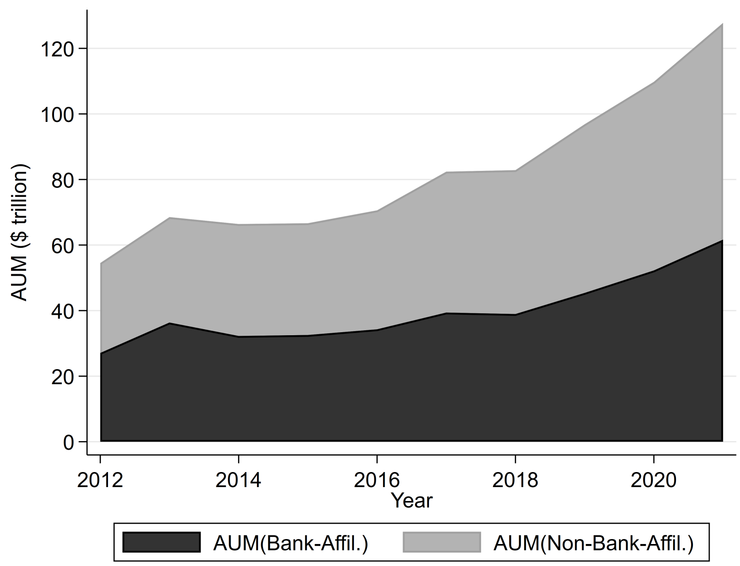
Table 8: Bank Branch Closures

This table reports estimates of the effect of RIA misconduct on bank branch closure from Eq. (8). The dependent variable is an indicator equal to one if branch i closes in year $t+1$. $Post_{Share\,Location}$ is an indicator equal to one in years after misconduct is revealed at an affiliated shared-location RIA operating in the same ZIP code as the branch. $Branch_{Share\,Location}$ is a time-invariant indicator equal to one for branches ever exposed to such an RIA, included in place of branch fixed effects because closure is an absorbing outcome. The sample is the full set of RIA misconduct events. The sample period is 2012–2020. Refer to Appendix Table A.1 for variable definitions. Standard errors, clustered at the bank level, are reported in parentheses. ***, **, and * indicate statistical significance at the 1%, 5%, and 10% levels, respectively.

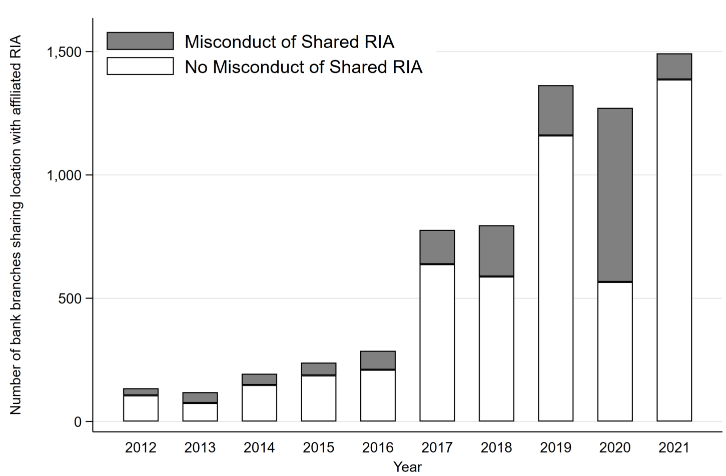
	$\mathbb{1}\{Close\}$			
	(1)	(2)	(3)	(4)
Post × Branch$_{Share\,Location}$	0.015***	0.015**	0.015**	0.018**
	(0.004)	(0.005)	(0.005)	(0.005)
Branch$_{Share\,Location}$	-0.015***	-0.016***	-0.015***	-0.017***
	(0.002)	(0.002)	(0.002)	(0.002)
Cohort × Bank × Year FE	Yes	Yes	Yes	Yes
Cohort × County × Year FE	Yes	Yes	Yes	No
Cohort × Zipcode × Year FE	No	No	No	Yes
Cohort × Branch Type × Year FE	No	No	Yes	Yes
R^2	0.112	0.150	0.153	0.193
Observations	586,327	584,993	584,993	585,106

Figure 1: Bank-Affiliated RIAs and Shared-Location Misconduct

This figure provides descriptive evidence on bank-affiliated RIAs and shared-location misconduct, constructed from SEC Form ADV filings over 2012–2021. Panel (A) plots annual total assets under management (AUM) for bank-affiliated and non-bank-affiliated RIAs. An RIA is classified as bank-affiliated if it reports a related person whose primary business is a banking or thrift institution in Form ADV Item 7.A. Annual AUM is the sum of regulatory assets under management reported by each RIA in Form ADV Item 5.F. Panel (B) plots the annual frequency of RIA misconduct events, distinguishing cases in which the RIA discloses sharing a physical location with a related banking institution in Form ADV Schedule D Section 7.A from other cases. Misconduct events are collected from the Form ADV disciplinary disclosure section and dated by the initiation date reported by the regulator.



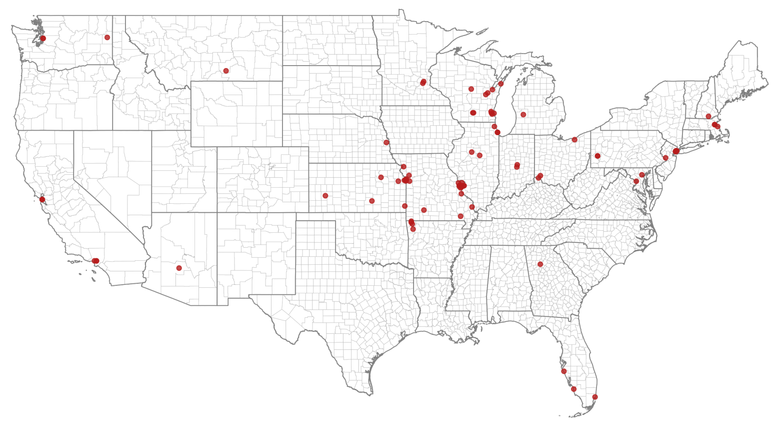
(A) Assets under management by RIA affiliation status



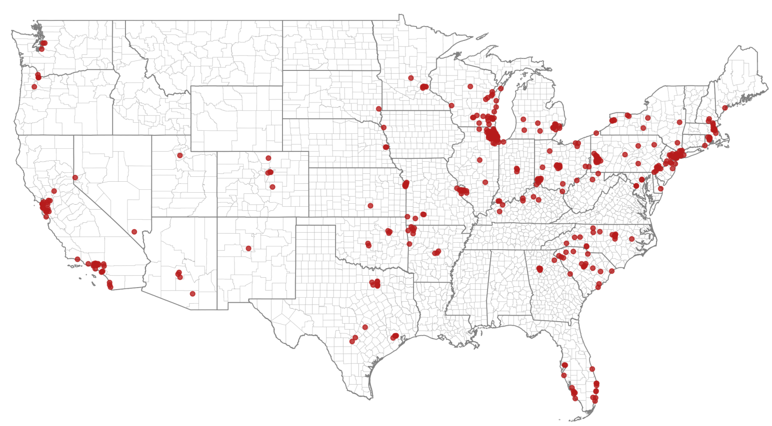
(B) Histogram of RIA misconduct by shared-location status

Figure 2: Geographic Distribution of Shared-Location RIAs

This figure maps the U.S. ZIP codes in which at least one bank-affiliated RIA discloses sharing a physical location with a related banking institution in Form ADV Schedule D Section 7.A. ZIP codes are identified using the primary office location reported by each shared-location RIA in Schedule D, and shaded ZIP codes contain at least one such RIA in the given year. Panel (A) presents the geographic distribution as of 2012. Panel (B) presents the corresponding distribution as of 2020. Data source: SEC Form ADV.



(A) 2012



(B) 2020

Figure 3: Event Study: RIA Misconduct and Bank Deposits

This figure plots event-study estimates of Eq. (4). The dependent variable is the natural logarithm of branch deposits. The omitted event year is $t = -1$. Sample period: 2012–2020. Standard errors are clustered at the bank level. Bands report 95% confidence intervals.

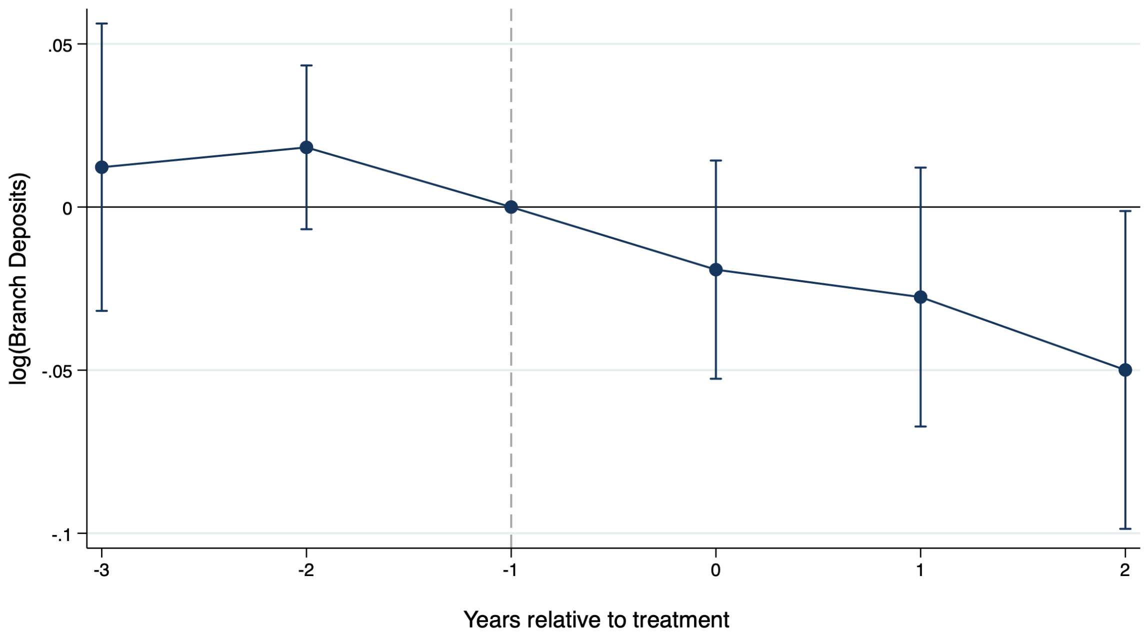


Figure 4: Distance Gradient

This figure plots estimates of Eq. (3) measuring how the deposit response varies with the distance from a branch's ZIP code to its closest misconduct-revealed affiliated RIA. The model includes indicators for whether the closest misconduct-revealed affiliated RIA is within one mile of the branch's ZIP code, from 1 to 5 miles, from 5 to 20 miles, from 20 to 50 miles, or from 50 to 100 miles of the ZIP code. The coefficient estimates on these indicators interacted with the Post indicator are plotted with their 95% confidence intervals. Sample period: 2012–2020. Standard errors are clustered at the bank and branch-type levels.

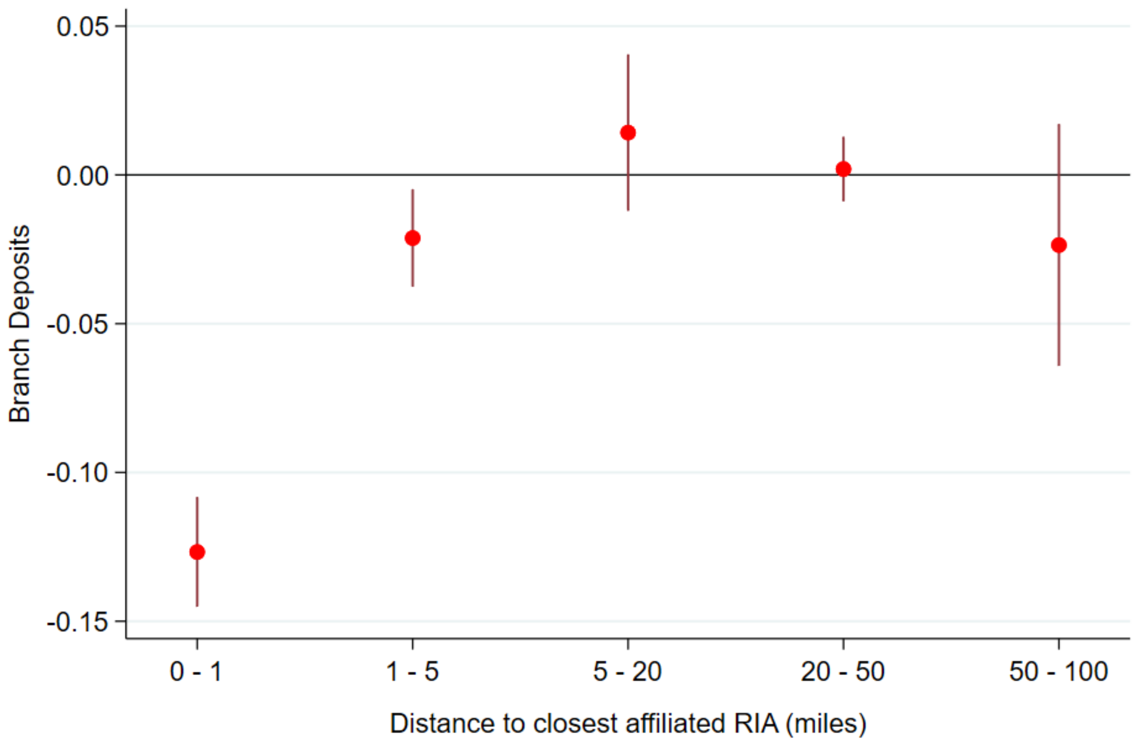
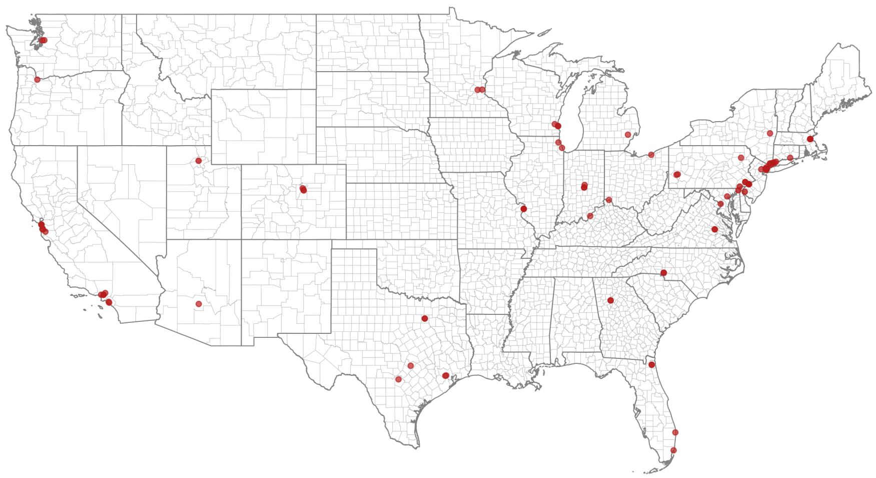
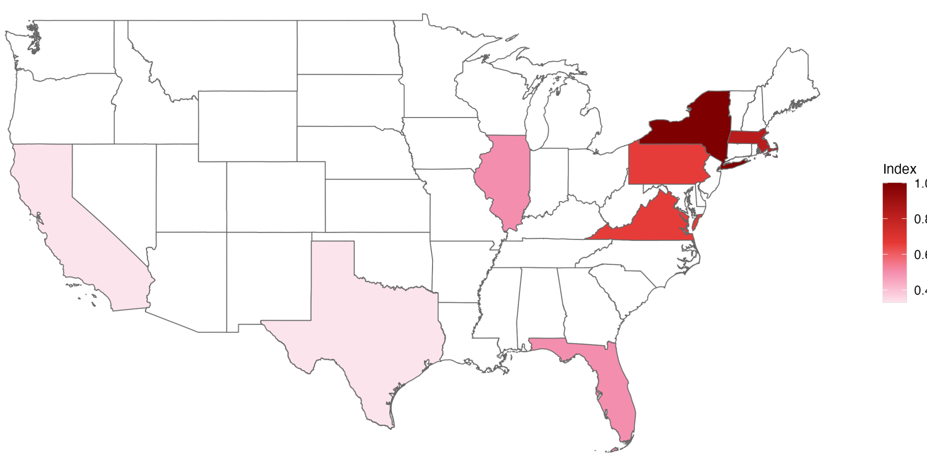


Figure 5: Mutual Fund Scandal Exposure and Public Attention

This figure presents the geographic distribution of exposure to the 2003 mutual fund scandal and public attention to the scandal. Panel (A) maps the ZIP codes of RIAs exposed to the mutual fund scandal listed in Appendix Table A.3. Panel (B) maps state-level Google Trends search intensity for the topic "Mutual Fund Scandal" measured between 2004 and 2006, normalized so that the state with the greatest intensity equals one.



(A) ZIP codes with RIAs exposed to the mutual fund scandal



(B) Google Trends intensity

Figure 6: Event Study: Mutual Fund Scandal

This figure plots event-study estimates of Eq. (7) for the 2003 mutual fund scandal experiment. The dependent variable is the natural logarithm of branch deposits. The omitted event year is $t = -1$. Sample period: 2001–2006. Standard errors are clustered at the bank and branch-type levels. Bands report 95% confidence intervals.

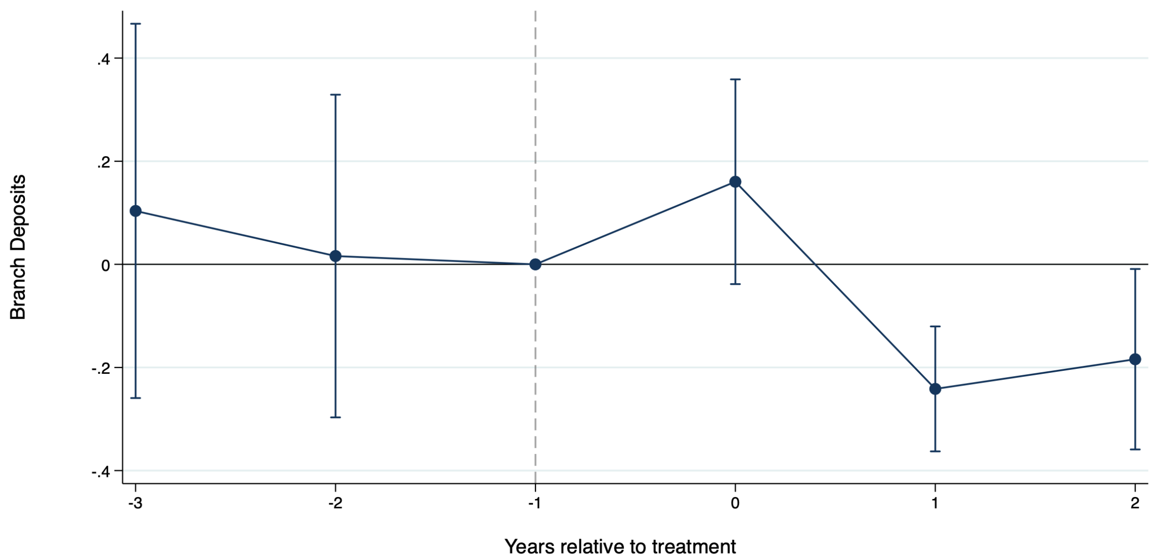
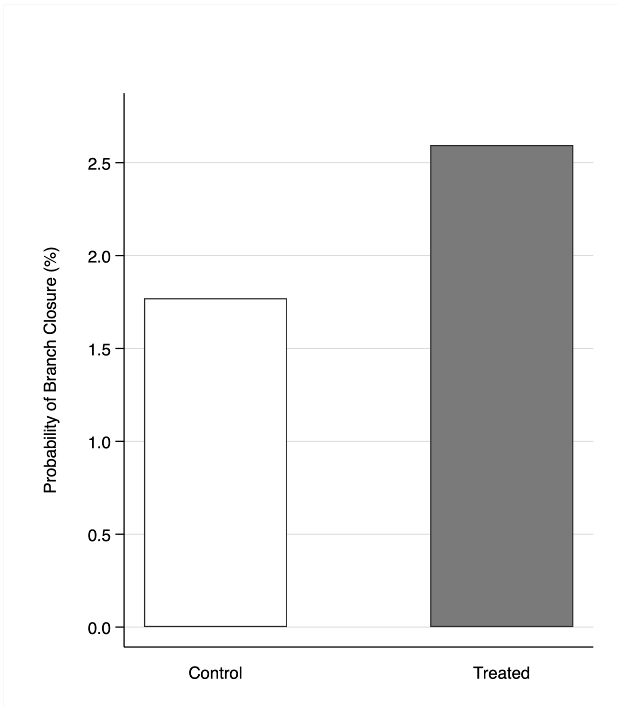


Figure 7: Bank Branch Closure Probability

This figure compares branch closure probabilities for treated and control branches based on estimates of Eq. (8), using the full sample of RIA misconduct events. *Treated* branches are those locally exposed to a misconduct-revealed shared-location RIA in the same ZIP code. *Control* branches are never-treated branches drawn from ZIP codes that experience at least one shared-location misconduct revelation during the sample period, within the same event-cohort panel. The sample period is 2012–2020.



Appendix

Table A.1: Variable Definitions

This table defines the main variables used in the empirical analysis.

Variable	**Definition**
Panel A: Treatment Indicators	
$Post_{Share\ Location}$	Indicator equal to one in years after misconduct is revealed at an RIA that is affiliated with the bank, discloses sharing a physical location with a related banking institution, and operates in the same ZIP code as the branch.
$Post_{Same\ Address}$	Indicator equal to one in years after misconduct is revealed at an affiliated shared-location RIA whose standardized street address matches that of the bank branch. Used in the same-address robustness specification in place of the baseline ZIP-code measure.
$Post_{Bank}$	Indicator equal to one in years after misconduct is revealed at any affiliated shared-location RIA of the bank.

Continued on next page

Table A.1 (continued)

Variable	Definition
$Branch_{Share\ Location}$	Time-invariant indicator equal to one for branches ever exposed to a misconduct-revealed shared-location RIA within the cohort. Included in the branch-closure specification in place of branch fixed effects, because closure is an absorbing outcome.
$Post$	Indicator equal to one in years after misconduct is first revealed at an affiliated shared-location RIA of the branch's bank.
$Misconduct_{Shared\ Location}$	ZIP-year-level indicator equal to one for ZIP codes containing at least one branch exposed to a misconduct-revealed affiliated shared-location RIA.
$Index$	State-level Google Trends search intensity for the topic "Mutual Fund Scandal" measured over 2004–2006, normalized so that the state with the greatest intensity equals one.
Panel B: Outcomes	
$\ln(Deposits)$	Natural logarithm of branch deposits from the FDIC Summary of Deposits.

Continued on next page

Table A.1 (continued)

Variable	Definition
ln(ZIP Deposits)	Natural logarithm of aggregate deposits at the ZIP-code level.
$\mathbb{1}\{Close\}$	Indicator equal to one if the branch closes in the following year.
Panel C: Heterogeneity Variables	
$\mathbb{1}\{Transaction\ Misconduct\}$	Indicator equal to one if the misconduct allegations involve trading, unauthorized transactions, unsuitable recommendations, excessive fees, or unfair pricing.
$\mathbb{1}\{Disclosure\ Misconduct\}$	Indicator equal to one if the misconduct allegations involve omissions, misrepresentations, misleading advertising, or failures to provide accurate information.
$\mathbb{1}\{Compliance\ Misconduct\}$	Indicator equal to one if the misconduct allegations involve registration, licensing, supervision, reporting, or internal procedure failures.
$\mathbb{1}\{Misc.\ Misconduct\}$	Indicator equal to one for misconduct allegations not classified into the categories above.
$\log(Fine\ amount)$	Natural logarithm of the monetary fine imposed on the affiliated RIA for the misconduct event.

Continued on next page

Table A.1 (continued)

Variable	Definition
$\mathbb{1}\{Retail\ Clients\ Ratio\ band\}$	Indicator for the share of the RIA's clients who are individual retail investors (other than high-net-worth), as reported on Form ADV in the ranges $< 10\%$, 10–25%, 25–50%, 50–75%, and $\geq 75\%$.
$\mathbb{1}\{Common\ Brand\}$	Indicator equal to one if the bank and its affiliated misconduct-revealed RIA share a common brand name. The complementary indicator $\mathbb{1}\{Not\ Common\ Brand\}$ equals one otherwise.
Panel D: Setting	
Bank-affiliated RIA	RIA reporting on Form ADV Item 7.A a related person whose primary business is a banking or thrift institution.
Shared-location RIA	Bank-affiliated RIA disclosing on Form ADV Schedule D Section 7.A that it shares an office or physical location with a related banking institution.
Misconduct event	Regulatory action disclosed in the Form ADV disciplinary disclosure section, dated by the initiation date reported by the regulator.

Table A.2: Example of Advisory Misconduct

This table provides examples of disciplinary actions taken against SEC-registered investment advisory firms, as disclosed in the Form ADV disciplinary disclosure section. *Name of Advisory Firm* is the full legal name of the adviser. *Initiation Date* is the date on which each regulatory action was initiated. *Regulatory* denotes the name of the regulatory authority. *Allegation* provides a brief description of the alleged misconduct. Data source: SEC Form ADV.

Name of Advisory Firm	Initiation Date	Regulatory	Allegation
Citigroup Global Markets Inc.	01/18/2012	FINRA	Failed to comply with various disclosure requirements including research reports.
Chase Investment Services Corp.	04/04/2012	CFTC	Unauthorized usage of client funds ($250 million ~ $1 trillion).
Nikko Asset Management Co Ltd	01/28/2012	FSA (JAPAN)	Insider trading.
Napier Park Capital Management LLC	09/21/2012	CFTC	Violation of speculative position limits
TCW Investment Management Co	07/17/2012	SFC (Hong Kong)	Provided false information of certain fees and charges to customers.
BNY Convergex Execution Solutions LLC	01/24/2012	FINRA	Misreport of short position over 300,000 shares.
Wells Fargo Advisors, LLC	07/15/2014	FINRA	Sold products to clients at unfair price.
Highbridge Capital Management, LLC	01/17/2014	NC State	Provided wrong information of auction rate securities.
RBC Capital Markets, LLC	09/16/2014	FINRA	Executed at unfair price for client orders.
Eagle Asset Management Inc	05/18/2016	FINRA	Failed to report suspicious transaction (AML).
The Dreyfus Corporation	11/29/2017	FCA (UK)	Insider trading.

Table A.3: List of Mutual Fund Families Involved in the 2003 Mutual Fund Scandal

This table lists the mutual fund families implicated in the 2003 mutual fund scandal. The table reports the fund family name, the initial news date on which the misconduct was reported, the illegal trading behavior investigated, the regulatory agencies involved, and the parent company of the main adviser for each fund family. Fund families whose parent company is a bank holding company are highlighted with rectangular boxes. These are used in the bank-level analysis. Sources: Houge and Wellman (2005) and Qian (2011).

Fund Family	Initial News Date	Practice under investigation	Regulator Involved	Parent Firm
Janus Funds	9/3/03	Market timing	SEC/NY State AG	Janus Capital Group
Nations Funds	9/3/03	Market timing + Late trading	SEC/NY State AG	Bank of America
One Group Funds	9/3/03	Market timing	SEC/NY State AG	Bank One
Strong Capital	9/3/03	Market timing	SEC/NY State AG	Private
Franklin Templeton	9/3/03	Market timing	California AG	Franklin Resources
Gabelli Funds	9/3/03	Market timing	SEC	Gabelli Asset Mgmt.
Putnam Investment	9/19/03	Market timing	SEC/MA State AG	Marsh & McLennan
Alliance Berstein	9/30/03	Market timing	SEC/NY State AG	Alliance Capital
Fed Alger	10/3/03	Late trading	SEC/NY State AG/NY Supreme Court	Private
Federated	10/22/03	Market timing + Late trading	SEC/NASD/NY State AG	Federated Investors
PBHG Funds	11/13/03	Market timing	SEC/NY State AG	Old Mutual PLC
Loomis Sayles	11/13/03	Market timing	Internal Probe	CDC Asset Mgmt.
Excelsior/US Trust	11/14/03	Market timing + Late trading	SEC/Maryland AG	Charles Schwab
Fremont	11/24/03	Market timing	SEC/NY State AG	Private
AIM/Invesco	12/2/03	Market timing	SEC/NY State AG/Colorado AG	Amvescap PLC
MFS	12/9/03	Market timing	SEC/NY State AG	Sun Life Financial
Heartland	12/11/03	Trading practices + Pricing violation	SEC	Private
Seligman	1/7/04	Market timing	NY State AG	Private
Columbia Funds	1/15/04	Trading practice	SEC/NY State AG	FleetBoston Financial
Scudder Investment	1/23/04	Market timing	SEC/NY State AG	Deutsch Bank AG
PIMCO	2/13/04	Market timing	California AG/New Jersey AG	Allianz Group
RS Investment	3/3/04	Market timing	SEC/NY State AG	Private
ING Investment	3/11/04	Market timing + Late trading	NY State AG/NASD	ING Groep NV
Evergreen	8/4/04	Market timing	Mass. AG/NASD	Wachovia
Sentinel	10/7/04	Market timing	SEC	Private

Figure A.1: Example of Form ADV

This figure presents an excerpt from a Form ADV filing by HIGHBRIDGE CAPITAL MANAGEMENT, LLC filed on June 28, 2024, illustrating the format of Form ADV Item 7.A and Schedule D Section 7.A disclosures of financial-industry affiliations and shared-location relationships with related persons. See Section 2.1 for detailed information on the advisory firm's affiliations within the financial industry. Data source: SEC Form ADV.

FORM ADV

UNIFORM APPLICATION FOR INVESTMENT ADVISER REGISTRATION AND REPORT BY EXEMPT REPORTING ADVISERS

Primary Business Name: HIGHBRIDGE CAPITAL MANAGEMENT, LLC	**CRD Number: 134776**
Other-Than-Annual Amendment - All Sections	**Rev. 10/2021**
6/28/2024 9:25:56 AM	

WARNING: Complete this form truthfully. False statements or omissions may result in denial of your application, revocation of your registration, or criminal prosecution. You must keep this form updated by filing periodic amendments. See Form ADV General Instruction 4.

Item 1 Identifying Information

Responses to this Item tell us who you are, where you are doing business, and how we can contact you. If you are filing an *umbrella registration*, the information in Item 1 should be provided for the *filing adviser* only. General Instruction 5 provides information to assist you with filing an *umbrella registration*.

A. Your full legal name (if you are a sole proprietor, your last, first, and middle names):
HIGHBRIDGE CAPITAL MANAGEMENT, LLC

B. (1) Name under which you primarily conduct your advisory business, if different from Item 1.A.
HIGHBRIDGE CAPITAL MANAGEMENT, LLC

SECTION 7.A. Financial Industry Affiliations

Complete a separate Schedule D Section 7.A. for each *related person* listed in Item 7.A.

1. Legal Name of *Related Person*:
JPMORGAN CHASE BANK N.A.

2. Primary Business Name of *Related Person*:
JPMORGAN CHASE BANK N.A.

3. *Related Person's* SEC File Number (if any) (e.g., 801-, 8-, 866-, 802-)
-
or
Other
7H6GLXDRUGQFU57RNE

4. *Related Person's*
(a) *CRD* Number (if any):

(b) CIK Number(s) (if any):

CIK Number
835271

5. *Related Person* is: (check all that apply)
(a) ☐ broker-dealer, municipal securities dealer, or government securities broker or dealer
(b) ☑ other investment adviser (including financial planners)
(c) ☐ registered municipal advisor
(d) ☑ registered security-based swap dealer
(e) ☐ major security-based swap participant
(f) ☑ commodity pool operator or commodity trading advisor (whether registered or exempt from registration)
(g) ☐ futures commission merchant
(h) ☑ banking or thrift institution
(i) ☑ trust company
(j) ☐ accountant or accounting firm
(k) ☐ lawyer or law firm
(l) ☐ insurance company or agency
(m) ☐ pension consultant
(n) ☐ real estate broker or dealer
(o) ☐ sponsor or syndicator of limited partnerships (or equivalent), excluding pooled investment vehicles
(p) ☑ sponsor, general partner, managing member (or equivalent) of pooled investment vehicles

Figure A.2: RIA Monetary Fine Amount

This figure plots the annual distribution of monetary fines imposed in regulatory actions against RIAs, as disclosed in the Form ADV disciplinary disclosure section over 2012–2021. The distribution is highly skewed, motivating the use of the natural logarithm of the fine amount in the regression specifications. Data source: SEC Form ADV.